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Content

I. BASIC LAW FOR THE FEDERAL REPUBLIC OF GERMANY (GRUNDGESETZ)

Article 1
[Human dignity – Human rights – Legally binding force of basic rights]

(1) [1]Human dignity shall be inviolable. [2]To respect and protect it shall be the duty of all state authority.

(2) The German people therefore acknowledge inviolable and inalienable human rights as the basis of every community, of peace and of justice in the world.

(3) The following basic rights shall bind the legislature, the executive and the judiciary as directly applicable law.

Article 2
[Personal freedoms]

(1) Every person shall have the right to free development of his personality insofar as he does not violate the rights of others or offend against the constitutional order or the moral law.

(2) [1]Every person shall have the right to life and physical integrity. [2]Freedom of the person shall be inviolable. [3]These rights may be interfered with only pursuant to a law.

Article 3
[Equality before the law]

(1) All persons shall be equal before the law.

(2) [1]Men and women shall have equal rights. [2]The state shall promote the actual implementation of equal rights for women and men and take steps to eliminate disadvantages that now exist.

(3) [1]No person shall be favoured or disfavoured because of sex, parentage, race, language, homeland and origin, faith, or religious or political opinions. [2]No person shall be disfavoured because of disability.

Article 4
[Freedom of faith and conscience]

(1) Freedom of faith and of conscience, and freedom to profess a religious or philosophical creed, shall be inviolable.

(2) The undisturbed practice of religion shall be guaranteed.

(3) [1]No person shall be compelled against his conscience to render military service involving the use of arms. [2]Details shall be regulated by a federal law.

Article 5
[Freedom of expression, arts and sciences]

(1) [1]Every person shall have the right freely to express and disseminate his opinions in speech, writing and pictures, and to inform himself without hindrance from generally accessible sources. [2]Freedom of the press and freedom of reporting by means of broadcasts and films shall be guaranteed. [3]There shall be no censorship.

(2) These rights shall find their limits in the provisions of general laws, in provisions for the protection of young persons, and in the right to personal honour.

(3) [1]Arts and sciences, research and teaching shall be free. [2]The freedom of teaching shall not release any person from allegiance to the constitution.

Article 8
[Freedom of assembly]

(1) All Germans shall have the right to assemble peacefully and unarmed without prior notification or permission.

(2) In the case of outdoor assemblies, this right may be restricted by or pursuant to a law.

Article 12
[Occupational freedom]

(1) [1]All Germans shall have the right freely to choose their occupation or profession, their place of work and their place of training. [2]The practice of an occupation or profession may be regulated by or pursuant to a law.

(2) No person may be required to perform work of a particular kind except within the framework of a traditional duty of community service that applies generally and equally to all.

(3) Forced labour may be imposed only on persons deprived of their liberty by the judgment of a court.

Article 14
[Property – Inheritance – Expropriation]

(1) [1]Property and the right of inheritance shall be guaranteed. [2]Their content and limits shall be defined by the laws.

(2) [1]Property entails obligations. [2]Its use shall also serve the public good.

(3) [1]Expropriation shall only be permissible for the public good. [2]It may only be ordered by or pursuant to a law that determines the nature and extent of compensation. [3]Such compensation shall be determined by establishing an equitable balance between the public interest and the interests of those affected. [4]In case of dispute concerning the amount of compensation, recourse may be had to the ordinary courts.

Article 19
[Restriction of basic rights – Legal remedies]

(1) [1]Insofar as, under this Basic Law, a basic right may be restricted by or pursuant to a law, such law must apply generally and not merely to a single case. [2]In addition, the law must specify the basic right affected and the Article in which it appears.

(2) In no case may the essence of a basic right be affected.

(3) The basic rights shall also apply to domestic artificial persons to the extent that the nature of such rights permits.

(4) [1]Should any person's rights be violated by public authority, he may have recourse to the courts. [2]If no other jurisdiction has been established, recourse shall be to the ordinary courts. [3]The second sentence of paragraph (2) of Article 10 shall not be affected by this paragraph.

Article 20
[Constitutional principles – Right of resistance]

(1) The Federal Republic of Germany is a democratic and social federal state.

(2) [1]All state authority is derived from the people. [2]It shall be exercised by the people through elections and other votes and through specific legislative, executive and judicial bodies.

(3) The legislature shall be bound by the constitutional order, the executive and the judiciary by law and justice.

(4) All Germans shall have the right to resist any person seeking to abolish this constitutional order, if no other remedy is available.

Article 23
[European Union – Protection of basic rights – Principle of subsidiarity]

(1) [1]With a view to establishing a united Europe, the Federal Republic of Germany shall participate in the development of the European Union that is committed to democratic, social and federal principles, to the rule of law and to the principle of subsidiarity and that guarantees a level of protection of basic rights essentially comparable to that afforded by this Basic Law. [2]To this end the Federation may transfer sovereign powers by a law with the consent of the Bundesrat. [3]The establishment of the European Union, as well as changes in its treaty foundations and comparable regulations that amend or supplement this Basic Law or make such amendments or supplements possible, shall be subject to paragraphs (2) and (3) of Article 79.

Article 25
[Primacy of international law]

[1]The general rules of international law shall be an integral part of federal law. [2]They shall take precedence over the laws and directly create rights and duties for the inhabitants of the federal territory.

Article 31
[Supremacy of federal law]

Federal law shall take precedence over *Land* law.

II. INTRODUCTORY ACT TO THE CIVIL CODE (EBGB)

Art 246

Information requirements for consumer contracts

(1) The trader shall, unless such information is apparent from the circumstances, be obliged under section 312a(2) of the Civil Code to provide the consumer with the following information in a clear and comprehensible manner before the consumer makes his contractual declaration:

1. The essential characteristics of the goods or services, to the extent appropriate for the data medium and the goods or services,

2. His identity, for example his trade name and the address of the place where he is established and his telephone number,

3. The total price of the goods and services, including all taxes and duties, or, where the nature of the goods or services is such that the price cannot reasonably be calculated in advance, the method of calculating the price and, where applicable, any additional freight, delivery or shipping charges and any other costs, or, where such costs cannot reasonably be calculated in advance, the fact that such additional costs may be incurred,

4. Where applicable, the terms of payment, delivery and performance, the date by which the trader has undertaken to deliver the goods or perform the services and the trader's procedure for dealing with complaints,

5. The existence of a statutory right of liability for defects in the goods or digital products and, where applicable, the existence and terms of after-sales services and guarantees,

6. Where applicable, the duration of the contract or the terms of termination of contracts of indefinite duration or automatically renewing contracts,

7. Where applicable, the functionality of the goods with digital elements or the digital products, including any applicable technical protection measures; and

8. Where applicable, and where material, the compatibility and interoperability of the goods with digital elements or digital products, to the extent that this information is known or should be known by the trader.

(2. Subsection (1) shall not apply to contracts which have as their object transactions relating to everyday life and which are performed immediately upon conclusion of the contract.

(3) If the consumer has a right of withdrawal, the trader is obliged to inform the consumer in text form about his right of withdrawal. The information on the right of withdrawal shall be clearly formulated and shall make clear to the consumer his essential rights in a manner adapted to the means of communication used. It must contain the following:

1. A reference to the right of withdrawal,

2. An indication that the withdrawal is made by declaration to the trader and does not require a statement of reasons,

3. The name and address for service of the person to whom the revocation is to be declared, and

4. An indication of the duration and commencement of the revocation period and that timely dispatch of the revocation declaration is sufficient to comply with the deadline.

Art 246a

Information requirements for off-premises and distance contracts other than contracts for financial services

§ 1 Information Duties

(1) Pursuant to Section 312d(1) of the German Civil Code, the trader is obliged to provide the consumer with the following information:

1. The essential characteristics of the goods or services to the extent appropriate for the means of communication and for the goods and services,

2. His identity, for example his trade name, and the address of the place where he is established and, where appropriate, the identity and address of the trader on whose behalf he is acting,

3. His telephone number, e-mail address and, where applicable, other online means of communication provided by him, provided that these ensure that the consumer can store his correspondence with the trader, including the date and time thereof, on a durable medium,

4. In addition to the information referred to in points 2 and 3, the business address of the trader and, where applicable, the address of the trader on whose behalf the trader is acting, to which the consumer may address any complaint if that address is different from the address referred to in point 2,

5. The total price of the goods or services, including all taxes and duties, or, where the nature of the goods or services is such that the price cannot reasonably be calculated in advance, the method of calculating the price,

6. Where applicable, the indication that the price has been personalised on the basis of automated decision-making,

7. Where applicable, any freight, delivery or shipping costs and any other costs in addition to the total price referred to in point 5, or, where such costs cannot reasonably be calculated in advance, the fact that such additional costs may be incurred,

8. In the case of a contract for an indefinite period or a subscription contract, the total price; this shall include the total costs incurred per billing period and, where fixed amounts are charged for such a contract, also the total monthly costs; where the total costs cannot reasonably be calculated in advance, the method of calculating the price,

9. The cost of using the means of distance communication used for the conclusion of the contract, where the consumer is charged costs that go beyond the cost of merely using the means of distance communication,

10. The terms of payment, delivery and performance, the date by which the trader must deliver the goods or provide the service and, where applicable, the trader's procedure for dealing with complaints,

11. The existence of a statutory right of liability for defects in the goods or digital products,

12. Where applicable, the existence and terms of after-sales service, after-sales services and guarantees,

13. Where applicable, the existence of relevant codes of conduct as referred to in Article 2(f) of Directive 2005/29/EC of the European Parliament and of the Council of 11 May 2005 concerning unfair business-to-consumer commercial practices in the internal market and amending Council Directive 84/450/EEC, Directives 97/7/EC, 98/27/EC and 2002/65/EC of the European Parliament and of the Council and Regulation (EC) No 2006/2004 of the European Parliament and of the Council (OJ L 149, 11.6.2005, p. 22; L 253, 25.9.2009, p. 18), as last amended by Directive (EU) 2019/2161 (OJ L 328, 18.12.2019, p. 7), and how copies thereof may be obtained,

14. Where applicable, the duration of the contract or the conditions of termination of contracts of indefinite duration or automatically renewing contracts,

15. Where applicable, the minimum duration of the consumer's obligations under the contract,

16. Where applicable, the fact that the trader may require the consumer to provide a deposit or other financial security and the conditions thereof,

17. Where applicable, the functionality of the goods with digital elements or the digital products, including applicable technical protection measures,

18. Where applicable, and where material, the compatibility and interoperability of the goods with digital elements or the digital products, to the extent that this information is known or should be known by the trader; and

19. Where applicable, that the consumer can use an out-of-court complaint and redress procedure to which the trader is subject and its access requirements.

III. GERMAN CIVIL CODE (BGB)

Book 1

§ 1
Beginning of legal capacity
The legal capacity of a human being begins on the completion of birth.

§ 2
Beginning of majority
Majority begins at the age of eighteen.

§ 13
Consumer
A consumer means every natural person who enters into a legal transaction for purposes that predominantly are outside his trade, business or profession.

§ 14
Trader
(1) A trader means a natural or legal person or a partnership with legal personality who or which, when entering into a legal transaction, acts in exercise of his or its trade, business or profession.
(2) A partnership with legal personality is a partnership that has the capacity to acquire rights and to incur liabilities.

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§ 21
Non-commercial association
An association whose object is not commercial business operations acquires legal personality by entry in the register of associations of the competent local court [Amtsgericht].

§ 55
Jurisdiction over entry in the register
The entry of an association of the kind specified in § 21 above in the register of associations must be made at the local court [Amtsgericht] for the district in which the association has its seat.

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§ 90
Concept of the thing
Only corporeal objects are things as defined by law.

§ 90a
Animals
[1]Animals are not things. [2]They are protected by special statutes. [3]They are governed by the provisions that apply to things, with the necessary modifications, except insofar as otherwise provided.

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§ 104
Incapacity to contract

A person is incapable of contracting if

1. he is not yet seven years old,
2. he is in a state of pathological mental disturbance, which prevents the free exercise of will, unless the state by its nature is a temporary one.

§ 105
Voidness of declaration of intent

(1) The declaration of intent of a person incapable of contracting is void.
(2) Also void is a declaration of intent that is made in a state of unconsciousness or temporary mental disturbance.

§ 105a
Everyday transactions

[1]If a person of full age incapable of contracting enters into an everyday transaction that can be effected with funds of low value, the contract he enters into is regarded as effective with regard to performance and, if agreed, consideration, as soon as performance has been effected and consideration rendered. [2]Sentence 1 above does not apply in the case of considerable danger to the person or the property of the person incapable of contracting.

§ 106
Limited capacity for minors to contract

A minor who has reached the age of seven has limited capacity to contract under §§ 107 to 113.

§ 107
Consent of legal representative

For a declaration of intent as a result of which he does not receive only a legal benefit, a minor requires the consent of his legal representative.

§ 108
Entry into a contract without consent

(1) If the minor enters into a contract without the necessary consent of the legal representative, the effectiveness of the contract is subject to the ratification of the legal representative.
(2) [1]If the other party requests the representative to declare his ratification, the declaration can only be made to the other party; a declaration or refusal of ratification made to the minor before the request of the other party is ineffective. [2]The ratification may only be declared before the expiry of two weeks after receipt of the demand; if ratification is not declared, it is considered to have been refused.
(3) If the minor has become fully capable of contracting, the ratification of the minor takes the place of the ratification of the representative.

§ 109
Right of revocation of the other party

(1) [1]Until the contract is ratified, the other party is entitled to revoke it. [2]Declaration of revocation may also be made to the minor.
(2) If the other party realised that he was dealing with a minor, he may revoke the contract only if the minor untruthfully stated that the legal representative had given consent; he may not revoke in this case either if, when the contract was entered into, he had notice of the lack of consent.

§ 110
Payment by minor with own means

A contract entered into by the minor without the approval of the legal representative is deemed effective from the beginning if the minor effects performance under the contract with means that were given to him for this purpose or for free disposal by the legal representative or by a third party with the ratification of the representative.

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§ 119
Voidability for mistake

(1) A person who, when making a declaration of intent, was mistaken about its contents or had no intention whatsoever of making a declaration with this content, may rescind the declaration if it is to be assumed that he would not have made the declaration with knowledge of the factual position and with a sensible understanding of the case.
(2) A mistake about such characteristics of a person or a thing as are customarily regarded as essential is also regarded as a mistake about the content of the declaration.

§ 120
Voidability for incorrect transmission

A declaration of intent that has been incorrectly transmitted by the person or facilities used for its transmission may be rescinded subject to the same condition as a declaration of intent made by mistake may be rescinded under § 119.

§ 121
Period for rescission

(1) [1]Rescission must be effected, in the cases set out in §§ 119 and 120, without culpable delay (without undue delay) after the person entitled to rescind obtains knowledge of the ground for rescission. [2]Rescission made to an absent person is regarded as effected in good time if the declaration of rescission is forwarded without undue delay.
(2) Rescission is excluded if ten years have passed since the declaration of intent was made.

§ 122
Liability in damages of the person declaring rescission

(1) If a declaration of intent is void under § 118, or rescinded under §§ 119 and 120, the person declaring must, if the declaration was to be made to another person, pay damages to this person, or failing this to any third party, for the damage that the other or the third party suffers as a result of his relying on the validity of the declaration; but not in excess of the total amount of the interest which the other or the third party has in the validity of the declaration.
(2) A duty to pay damages does not arise if the injured person knew the reason for the voidness or the voidability or did not know it as a result of his negligence (ought to have known it).

§ 123
Voidability on the grounds of deceit or duress

(1) A person who has been induced to make a declaration of intent by deceit or unlawfully by duress may rescind his declaration.
(2) [1]If a third party committed this deceit, a declaration that had to be made to another may be rescinded only if the latter knew of the deceit or ought to have known it. [2]If a person other than the person to whom the declaration was to be made acquired a right as a direct result of the declaration, the declaration made to him may be rescinded if he knew or ought to have known of the deceit.

§ 124
Period for rescission

(1) The rescission of a declaration of intent voidable under § 123 may be effected only within one year.
(2) [1]In the case of deceit, the period commences at the time when the person entitled to rescind discovers the deceit, and in case of duress, from the time when the duress stops. [2]The provisions in §§ 206, 210 and 211 applicable to time-barring apply with the necessary modifications to the running of the period.
(3) Rescission is barred, if ten years have passed since the declaration of intent was made.

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§ 125
Voidness resulting from a defect of form

A legal transaction that lacks the form prescribed by statute is void. In case of doubt, lack of the form specified by legal transaction also results in voidness.

§ 126
Written form

(1) If written form is prescribed by statute, the document must be signed by the issuer with his name in his own hand, or by his notarially certified initials.
(2) [1]In the case of a contract, the signature of the parties must be made on the same document. [2]If more than one counterpart of the contract is drawn up, it suffices if each party signs the document intended for the other party.
(3) Written form may be replaced by electronic form, unless the statute leads to a different conclusion.
(4) A publicly certified statement pursuant to § 129 (1) sentence 1 number 2, or a statement pursuant to § 129 (3) shall also be deemed a written statement.
(5) Notarial recording replaces the written form.

§ 126a
Electronic form

(1) If electronic form is to replace the written form prescribed by statute, the issuer of the declaration must add his name to it and provide the electronic document with his qualified electronic signature.
(2) In the case of a contract, the parties must each provide a counterpart with an electronic signature as described in (1).

§ 126b
Text form

If text form is prescribed by statute, a readable declaration, in which the person making the declaration is named, must be made on a durable medium. A durable medium is any medium that

1. enables the recipient to retain or store a declaration included on the medium that is addressed to him personally such that it is accessible to him for a period of time adequate to its purpose, and
2. that allows the unchanged reproduction of such declaration.

§ 128
Notarial recording

If the notarial recording of a contract is prescribed by statute, it suffices if first the offer and then the acceptance of the offer is recorded by a notary.

§ 129
Official certification

(1) [1]If official certification is required by law for a declaration, the declaration must be

1. in written form and the signature of the declarant must be certified by a notary public, or
2. in electronic form and the qualified electronic signature of the person making the declaration must be certified by a notary public.

[2]The law may provide that a declaration may be certified only in accordance with sentence 1 number 1 or in accordance with sentence 1 number 2.
(2) If a declaration in written form was signed by the declarant by means of a notarized hand sign, the declaration shall also meet the requirements under section 1, sentence 1, number 1.
(3) If a statement in an electronic document has been affixed by the declarant with a notarized handwritten electronic signature or a notarized handwritten electronic mark, it shall be deemed a publicly certified statement.
(4) The official certification shall be replaced by the notarial certification.

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§ 130
Effectiveness of a declaration of intent to absent parties

(1) [1]A declaration of intent that is to be made to another becomes effective, if made in his absence, at the point of time when this declaration reaches him. [2]It does not become effective if a revocation reaches the other previously or at the same time.
(2) A declaration of intent that has been notarized or officially certified is also effective if the recipient of the declaration receives an officially certified copy of the original.
(3) The effectiveness of a declaration of intent is not affected if the person declaring dies or loses capacity to contract after making a declaration.
(4) These provisions apply even if the declaration of intent is to be made to a public authority.

§ 133
Interpretation of a declaration of intent

When a declaration of intent is interpreted, it is necessary to ascertain the true intention rather than adhering to the literal meaning of the declaration.

§ 134
Statutory prohibition

A legal transaction that violates a statutory prohibition is void, unless the statute leads to a different conclusion.

§ 138
Legal transaction contrary to public policy; usury

(1) A legal transaction which is contrary to public policy is void.
(2) In particular, a legal transaction is void by which a person, by exploiting the predicament, inexperience, lack of sound judgement or considerable weakness of will of another, causes himself or a third party, in exchange for an act of performance, to be promised or granted pecuniary advantages which are clearly disproportionate to the performance.

§ 141
Confirmation of a void legal transaction

(1) If a void legal transaction is confirmed by the person who undertook it, the confirmation is to be seen as a renewed undertaking.
(2) If a void contract is confirmed by the parties, then in case of doubt they are obliged to grant to each other what they would have granted if the contract had been valid from the beginning.

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§ 142
Effect of rescission

(1) If a voidable legal transaction is rescinded, it is to be regarded as having been void from the outset.
(2) A person who knew or ought to have known of the possibility of rescission is treated, in case of rescission, as if he had known or ought to have known of the invalidity of the legal transaction.

§ 143
Declaration of rescission

(1) Rescissionis effected by declaration to the opponent.
(2) The opponent is, in the case of a contract, the other party to the contract and, in the case of § 123 (2) sentence 2, the person who has acquired a right directly under the contract.
(3) [1]In the case of a unilateral legal transaction which was to be undertaken in relation to another person, the other person is the opponent. [2]The same applies to a legal transaction that is required to be undertaken in relation to another person or to a public authority, even if the legal transaction has already been undertaken in relation to the authority.
(4) [1]In the case of any other kind of unilateral legal transaction, the person who has received a legal advantage directly on the basis of the legal transaction is the opponent. [2]The rescissionmay, however, if the declaration of intent was to be made to a public authority, be made by declaration to the authority; the authority should inform the person who was directly affected by the legal transaction of the rescission.

§ 144
Confirmation of a voidable legal transaction

(1) Rescissionis excluded, if the voidable legal transaction is confirmed by the person entitled to rescind.
(2) The confirmation does not require the form prescribed for the legal transaction.

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§ 145
Binding effect of an offer

Any person who offers to another to enter into a contract is bound by the offer, unless he has excluded being bound by it.

§ 146
Expiry of an offer

An offer expires if a refusal is made to the offeror, or if no acceptance is made to this person in good time in accordance with §§ 147 to 149.

§ 147
Period for acceptance

(1) [1]An offer made to a person who is present may only be accepted immediately. [2]This also applies to an offer made by one person to another using a telephone or another technical facility.
(2) An offer made to a person who is absent may be accepted only until the time when the offeror may expect to receive the answer under ordinary circumstances.

§ 148
Fixing a period for acceptance

If the offeror has determined a period of time for the acceptance of an offer, the acceptance may only take place within this period.

§ 149
Late receipt of a declaration of acceptance

[1]If a declaration of acceptance received late by the offeror was sent in such a way that it would have reached him in time if it had been forwarded in the usual way, and if the offeror ought to have recognised this, he must notify the acceptor of the delay after receipt of the declaration without undue delay, unless this has already been done. [2]If he delays the sending of the notification, the acceptance is deemed not to be late.

§ 150
Late and altered acceptance

(1) The late acceptance of an offer is considered to be a new offer.
(2) An acceptance with expansions, restrictions or other alterations is deemed to be a rejection combined with a new offer.

§ 151
Acceptance without declaration to the offeror

[1]A contract comes into existence through the acceptance of the offer without the offeror needing to be notified of acceptance, if such a declaration is not to be expected according to customary practice, or if the offeror has waived it. [2]The point of time when the offer expires is determined in accordance with the intention of the offeror, which is to be inferred from the offer or the circumstances.

§ 155
Hidden lack of agreement

If the parties to a contract which they consider to have been entered into have, in fact, not agreed on a point on which an agreement was required to be reached, whatever is agreed is applicable if it is to be assumed that the contract would have been entered into even without a provision concerning this point.

§ 157
Interpretation of contracts

Contracts are to be interpreted as required by good faith, taking customary practice into consideration.

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§ 158
Conditions precedent and subsequent

(1) If a legal transaction is entered into subject to a condition precedent, the legal transaction that is subject to the condition comes into effect when the condition is satisfied.
(2) If a legal transaction is entered into subject to a condition subsequent, the effect of the legal transaction ends when the condition is satisfied; at this moment the previous legal situation is restored.

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§ 164
Effect of a declaration made by the agent

(1) [1]A declaration of intent which a person makes within the scope of his own power of agency in the name of a principal takes effect directly in favour of and against the principal. [2]It is irrelevant whether the declaration is made explicitly in the name of the principal, or whether it may be gathered from the circumstances that it is to be made in his name.
(2) If the intent to act on behalf of another is not evident, the lack of intent on the part of the agent to act on his own behalf is not taken into consideration.
(3) The provisions of (1) apply with the necessary modifications if a declaration of intent to be made to another is made to his agent.

§ 167
Conferment of authority

(1) Authority is conferred by declaration to the person to be granted authority, or to the third party in relation to whom the authority is to have effect.
(2) The declaration is not required to be in the form laid down for the legal transaction to which the authority relates.

§ 168
Expiry of authority

[1]The expiry of the authority depends on the legal relationship on which its conferment is based. [2]The authority is also revocable if the legal relationship is continued, unless this relationship leads to a different conclusion. [3]The provision under § 167 (1) applies with the necessary modifications to the declaration of revocation.

§ 172
Letter of authorisation

(1) If the principal has delivered a letter of authorisation to the agent and the agent presents it to a third party, this is equivalent to a separate notification of authorisation by the principal.
(2) The power of agency remains effective until the letter of authorisation is returned to the principal or declared to be invalid.

§ 177
Entry into contract by an unauthorised agent

(1) If a person enters into a contract in the name of another without power of agency, then the effectiveness of the contract to the benefit or detriment of the principal requires the ratification of the principal.
(2) [1]If the other party requires the principal to make a declaration as to whether or not he ratifies the contract, the declaration may only be made to that other party; a ratification or a refusal of ratification declared to the agent before the demand is without effect. [2]The ratification may only be declared before the expiry of two weeks after receipt of the demand; if it is not declared, it is considered to have been refused.

§ 178

Right of revocation of the other party

[1]Until the ratification of the contract, the other party is entitled to revoke it, unless he knew of the lack of power of agency when he entered into the contract. [2]The revocation may also be declared to the agent.

§ 179

Liability of an unauthorised agent

(1) A person who has entered into a contract as an agent is, if he does not furnish proof of his power of agency, obliged to the other party at the other party's choice either to perform the contract or to pay damages to him, if the principal refuses to ratify the contract.
(2) If the agent was not aware of his lack of power of agency, he is obliged to make compensation only for the damage which the other party suffers as a result of relying on the power of agency; but not in excess of the total amount of the interest which the other or the third party has in the effectiveness of the contract.
(3) [1]The agent is not liable, if the other party knew or ought to have known of the lack of power of agency. [2]The agent is also not liable if he had limited capacity to contract, unless he acted with the consent of his legal representative.

§ 181

Contracting with oneself

An agent may not, unless otherwise permitted, enter into a legal transaction in the name of the principal with himself in his own name or as an agent of a third party, unless the legal transaction consists solely in the performance of an obligation.

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§ 182

Approval

(1) If the effectiveness of a contract, or of a unilateral legal transaction to be undertaken in relation to another, depends on the approval of a third party, the grant and refusal of approval may be declared either to one party or to the other.
(2) The approval is not required to have the form provided for the legal transaction.
(3) If a unilateral legal transaction whose effectiveness depends on the approval of a third party is undertaken with the consent of the third party, then the provisions of § 111 sentences 2 and 3 apply with the necessary modifications.

§ 183

Revocability of consent

[1]Prior approval (consent) may be revoked until the legal transaction is undertaken, unless the legal relationship on which this consent is based leads to a different conclusion. [2]Revocation may either be declared to one party or to the other.

§ 184

Retroactive effect of ratification

(1) Subsequent approval (ratification) operates retroactively from the point of time when the legal transaction was undertaken, unless otherwise provided.
(2) The retroactive effect does not cancel the effectiveness of dispositions made by the ratifying person before the ratification of the subject matter of the legal transaction, or made by execution or attachment or by the administrator in insolvency proceedings.

§ 185
Disposition by an unauthorised person

(1) A disposition of a thing made by a person without the authority to do so is effective if made with the consent of the person entitled.
(2) [1]The disposition becomes effective if the person entitled ratifies it, or if the person disposing acquires the thing or if the person entitled has succeeded to the estate of the disposer and has unlimited liability for the obligations of the estate. [2]In the last two cases, if more than one conflicting disposition has been made in respect of the thing, then only the first disposition is effective.

§ 194
Subject-matter of limitation

(1) The right to demand that another person does or refrains from an act (claim) is subject to limitation.
(2) The following shall not be subject to the statute of limitations

1. claims that have arisen from a crime that is not subject to the statute of limitations,
2. claims arising from a family law relationship, insofar as they are directed at the establishment of the status corresponding to the relationship for the future or at the consent to the genetic examination for the clarification of the natural parentage.

§ 218
Ineffectiveness of revocation

(1) Revocation for non-performance or for the failure to perform in conformity with the contract is ineffective if the claim for performance or the claim for cure is now statute-barred and the obligor invokes this. This applies even if, in accordance with § 275 (1) to (3), § 439 (4) or § 635 (3), the obligor is not required to perform and the claim for performance or cure would be statute-barred. § 216 (2), sentence 2, remains unaffected.
(2) § 214 (2) applies with the necessary modifications.

Book 2

§ 241
Duties arising from an obligation

(1) [1]By virtue of an obligation a creditor is entitled to claim performance from the debtor. [2]The performance may also consist in forbearance.
(2) An obligation may also, depending on its contents, oblige each party to take account of the rights, legal interests and other interests of the other party.

§ 241a
Unsolicited performance

(1) The supply of movable things that are not being sold by way of an execution of judgment or otherwise by authority of law (goods), or the provision of other services to the consumer by a trader, does not create a claim against the consumer if the consumer has not ordered these goods or other services.
[…]

§ 242
Performance in good faith

A debtor has a duty to perform according to the requirements of good faith, taking customary practice into consideration.

§ 243
Obligation in kind

(1) A person who owes a thing defined only by class must supply a thing of average kind and quality.
(2) If the obligor has done what is necessary on his part to supply such a thing, the obligation is restricted to that thing.

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§ 249
Nature and extent of damages

(1) A person who is liable in damages must restore the position that would exist if the circumstance obliging him to pay damages had not occurred.
(2) [1]Where damages are payable for injury to a person or damage to a thing, the creditor may demand the required monetary amount in lieu of restoration. [2]When a thing is damaged, the monetary amount required under sentence 1 only includes value-added tax if and to the extent that it is actually incurred.

§ 250
Damages in money after the specification of a period of time

[1]The creditor may specify a reasonable period of time for the person liable in damages to undertake restoration and declare that he will reject restoration after the period of time ends. [2]After the end of the period of time the creditor may demand damages in money, if restoration does not occur in good time; the claim to restoration is excluded.

§ 251
Damages in money without the specification of a period of time

(1) To the extent that restoration is not possible or is not sufficient to compensate the creditor, the person liable in damages must compensate the creditor in money.
(2) [1]The person liable in damages may compensate the creditor in money if restoration is only possible with disproportionate expenses. [2]Expenses incurred as a result of the curative treatment of an injured animal are not disproportionate merely because they significantly exceed the value of the animal.

§ 252
Lost profits

[1]The damage to be compensated for also comprises the lost profits. [2]Those profits are considered lost that in the normal course of events or in the special circumstances, particularly due to the measures and precautions taken, could probably be expected.

§ 253
Intangible damage

(1) Money may be demanded in compensation for any damage that is not pecuniary loss only in the cases stipulated by law.
(2) If damages are to be paid for an injury to body, health, freedom or sexual self-determination, reasonable compensation in money may also be demanded for any damage that is not pecuniary loss.

§ 254
Contributory negligence

(1) Where fault on the part of the injured person contributes to the occurrence of the damage, liability in damages as well as the extent of compensation to be paid depend on the circumstances, in particular to what extent the damage is caused mainly by one or the other party.
(2) [1]This also applies if the fault of the injured person is limited to failing to draw the attention of the debtor to the danger of unusually extensive damage, where the debtor neither was nor ought to have been aware of the danger, or to failing to avert or reduce the damage. [2]The provision of § 278 applies with the necessary modifications.

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§ 271
Time of performance

(1) Where no time for performance has been specified or is evident from the circumstances, the creditor may demand performance immediately, and the debtor may affect it immediately.
(2) Where a time has been specified, then in case of doubt it must be assumed that the creditor may not demand performance, but the debtor may affect it prior to that time.

§ 275
Exclusion of the duty of performance

(1) A claim for performance is excluded to the extent that performance is impossible for the debtor or for any other person.
(2) [1]The debtor may refuse performance to the extent that performance requires expense and effort which, taking into account the subject matter of the obligation and the requirements of good faith, is grossly disproportionate to the interest in performance of the creditor. [2]When it is determined what efforts may reasonably be required of the debtor, it must also be taken into account whether he is responsible for the obstacle to performance.
(3) In addition, the debtor may refuse performance if he is to render the performance in person and, when the obstacle to the performance of the debtor is weighed against the interest of the creditor in performance, performance cannot be reasonably required of the debtor.
(4) The rights of the creditor are governed by §§ 280, 283 to 285, 311a and 326.

§ 276
Responsibility of the debtor

(1) [1]The debtor is responsible for intention and negligence, if a higher or lower degree of liability is neither laid down nor to be inferred from the other subject matter of the obligation, including but not limited to the giving of a guarantee or the assumption of a procurement risk. [2]The provisions of §§ 827 and 828 apply with the necessary modifications.
(2) A person acts negligently if he fails to exercise reasonable care.
(3) The debtor may not be released in advance from liability for intention.

§ 277
Standard of care in ones own affairs

A person who owes only the care that he customarily exercises in his own affairs is not released from liability for gross negligence.

§ 278
Responsibility of the debtor for third parties

[1]The debtor is responsible for fault on the part of his legal representative, and of persons whom he uses to perform his obligation, to the same extent as for fault on his own part. [2]The provision of § 276 (3) does not apply.

§ 280
Damages for breach of duty

(1) [1]If the debtor breaches a duty arising from the obligation, the creditor may demand damages for the damage caused thereby. [2]This does not apply if the debtor is not responsible for the breach of duty.
(2) Damages for delay in performance may be demanded by the creditor only subject to the additional requirement of § 286.
(3) Damages in lieu of performance may be demanded by the creditor only subject to the additional requirements of §§ 281, 282 or 283.

§ 281
Damages in lieu of performance for nonperformance or failure to render performance as owed

(1) [1]To the extent that the debtor does not render performance when it is due or does not render performance as owed, the creditor may, subject to the requirements of § 280 (1), demand damages in lieu of performance, if he has without result set a reasonable period for the debtor for performance or cure. [2]If the debtor has performed only in part, the creditor may demand damages in lieu of complete performance only if he has no interest in the part performance. [3]If the debtor has not rendered performance as owed, the creditor may not demand damages in lieu of performance if the breach of duty is immaterial.
(2) Setting a period for performance may be dispensed with if the debtor seriously and definitively refuses performance or if there are special circumstances which, after the interests of both parties are weighed, justify the immediate assertion of a claim for damages.
(3) If the nature of the breach of duty is such that setting a period of time is out of the question, a warning notice is given instead.
(4) The claim for performance is excluded as soon as the creditor has demanded damages in lieu of performance.
(5) If the creditor demands damages in lieu of complete performance, the debtor is entitled to claim the return of his performance under §§ 346 to 348.

§ 282
Damages in lieu of performance for breach of a duty under § 241 (2)

If the debtor breaches a duty under § 241 (2), the creditor may, if the requirements of § 280 (1) are satisfied, demand damages in lieu of performance, if he can no longer reasonably be expected to accept performance by the debtor.

§ 283
Damages in lieu of performance where the duty of performance is excluded

[1]If, under § 275 (1) to (3), the debtor is not obliged to perform, the creditor may, if the requirements of § 280 (1) are satisfied, demand damages in lieu of performance. [2]§ 281 (1) sentences 2 and 3 and (5) apply with the necessary modifications.

§ 284
Reimbursement of futile expenses

In place of damages in lieu of performance, the creditor may demand reimbursement of the expenses which he has made and in all fairness was entitled to make in reliance on receiving performance, unless the purpose of the expenses would not have been achieved, even if the debtor had not breached his duty.

§ 286
Default of the debtor

(1) [1]If the debtor, following a warning notice from the creditor that is made after performance is due, fails to perform, he is in default as a result of the warning notice. [2]Bringing an action for performance and serving a demand for payment in summary debt proceedings for recovery of debt have the same effect as a warning notice.
(2) There is no need for a warning notice if

1. a period of time according to the calendar has been specified,
2. performance must be preceded by an event and a reasonable period of time for performance has been specified in such a way that it can be calculated, starting from the event, according to the calendar,
3. the debtor seriously and definitively refuses performance,
4. for special reasons, weighing the interests of both parties, the immediate commencement of default is justified.

(3) [1]The debtor of a claim for payment is in default at the latest if he does not perform within thirty days after the due date and receipt of an invoice or equivalent statement of payment; this applies to an debtor who is a consumer only if these consequences are specifically referred to in the invoice or statement of payment. [2]If the time at which the invoice or payment statement is received by the debtor is uncertain, a debtor who is not a consumer is in default at the latest thirty days after the due date and receipt of the consideration.
(4) The debtor is not in default for as long as performance is not made as the result of a circumstance for which he is not responsible.
(5) § 271a (1) to (5) shall apply mutatis mutandis to any agreement on the occurrence of default that deviates from (1) to (3).

§ 287
Liability during default

[1]While he is in default, the debtor is responsible for all negligence. [2]He is liable for performance in the case of chance as well, unless the damage would have occurred even if performance had been made in good time.

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§ 305
Incorporation of standard business terms into the contract

(1) [1]Standard business terms are all contract terms pre-formulated for more than two contracts which one party to the contract (the user) presents to the other party upon the entering into of the contract. [2]It is irrelevant whether the provisions take the form of a physically separate part of a contract or are made part of the contractual document itself, what their volume is, what typeface or font is used for them and what form the contract takes. [3]Contract terms do not become standard business terms to the extent that they have been negotiated in detail between the parties.
(2) Standard business terms only become a part of a contract if the user, when entering into the contract,

1. refers the other party to the contract to them explicitly or, where explicit reference, due to the way in which the contract is entered into, is possible only with disproportionate difficulty, by posting a clearly visible notice at the place where the contract is entered into, and
2. gives the other party to the contract, in an acceptable manner, which also takes into reasonable account any physical handicap of the other party to the contract that is discernible to the user, the opportunity to take notice of their contents,

and if the other party to the contract agrees to their applying.
(3) The parties to the contract may, while complying with the requirements set out in (2) above, agree in advance that specific standard business terms are to govern a specific type of legal transaction.

§ 305a
Incorporation in special cases

Even without compliance with the requirements cited in § 305 (2) no. 1 and 2, if the other party to the contract agrees to their applying the following are incorporated,

1. the tariffs and regulations of the railways issued with the approval of the competent transport authority or on the basis of international conventions, and the terms of transport approved under the Passenger Transport Act [Personenbeförderungsgesetz], of trams, trolley buses and motor vehicles in regular public transport services,
2. the standard business terms published in the gazette of the Federal Network Agency for Electricity, Gas, Telecommunications, Post and Railway [Bundesnetzagentur für Elektrizität, Gas, Telekommunikation, Post und Eisenbahnen] and kept available on the business premises of the user,
    a) into transport contracts entered into off business premises by the posting of items in postboxes,
    b) into contracts on telecommunications, information services and other services that are provided direct by the use of distance communication and at one time and without interruption during the supply of a telecommunications service, if it is disproportionately difficult to make the standard business terms available to the other party before the contract is entered into.
3. the approved investment policies of capital management companies.

§ 305b
Priority of individually agreed terms

Individually agreed terms take priority over standard business terms.

§ 305c
Surprising and ambiguous clauses

(1) Provisions in standard business terms which in the circumstances, in particular with regard to the outward appearance of the contract, are so unusual that the other party to the contract with the user need not expect to encounter them, do not form part of the contract.
(2) Any doubts in the interpretation of standard business terms are resolved against the user.

§ 306
Legal consequences of non-incorporation and ineffectiveness

(1) If standard business terms in whole or in part have not become part of the contract or are ineffective, the remainder of the contract remains in effect.
(2) To the extent that the terms have not become part of the contract or are ineffective, the contents of the contract are determined by the statutory provisions.

(3) The contract is ineffective if upholding it, even taking into account the alteration provided in (2) above, would be an unreasonable hardship for one party.

§ 306a
Prohibition of circumvention

The rules in this division apply even if they are circumvented by other constructions.

§ 307
Test of reasonableness of contents

(1) [1]Provisions in standard business terms are ineffective if, contrary to the requirement of good faith, they unreasonably disadvantage the other party to the contract with the user. [2]An unreasonable disadvantage may also arise from the provision not being clear and comprehensible.

(2) An unreasonable disadvantage is, in case of doubt, to be assumed to exist if a provision

1. is not compatible with essential principles of the statutory provision from which it deviates, or
2. limits essential rights or duties inherent in the nature of the contract to such an extent that attainment of the purpose of the contract is jeopardised.

(3) [1](1) and (2) above, and §§ 308 and 309 apply only to provisions in standard business terms on the basis of which arrangements derogating from legal provisions, or arrangements supplementing those legal provisions, are agreed. [2]Other provisions may be ineffective under (1) sentence 2 above, in conjunction with (1) sentence 1 above.

§ 308
Prohibited clauses with the possibility of evaluation

In standard business terms the following are in particular ineffective

1. (Period of time for acceptance and performance) a provision by which the user reserves to himself the right to unreasonably long or insufficiently specific periods of time for acceptance or rejection of an offer or for rendering performance; this does not include the reservation of the right not to perform until after the end of the period of time for withdrawal under § 355 (1) and (2);

[…]

2. (Additional period of time) a provision by which the user, contrary to legal provisions, reserves to himself the right to an unreasonably long or insufficiently specific additional period of time for the performance he is to render;
3. (Reservation of the right to revoke) the agreement of a right of the user to free himself from his obligation to perform without any objectively justified reason indicated in the contract; this does not apply to continuing obligations;
4. (Reservation of the right to modify) the agreement of a right of the user to modify the performance promised or deviate from it, unless the agreement of the modification or deviation can reasonably be expected of the other party to the contract when the interests of the user are taken into account;
5. (Fictitious declarations) a provision by which a declaration by the other party to the contract with the user, made when undertaking or omitting a specific act, is deemed to have been made or not made by the user unless
   a) the other party to the contract is granted a reasonable period of time to make an express declaration, and
   b) the user agrees to especially draw the attention of the other party to the contract to the intended significance of his behaviour at the beginning of the period of time;

6. (Fictitious receipt) a provision providing that a declaration by the user that is of special importance is deemed to have been received by the other party to the contract;
7. (Reversal of contracts) a provision by which the user, to provide for the event that a party to the contract revokes the contract or gives notice of termination of the contract, may demand
   a) unreasonably high remuneration for enjoyment or use of a thing or a right or for performance rendered, or
   b) unreasonably high reimbursement of expenses;
8. (Unavailability of performance) the agreement, admissible under no. 3, of the reservation by the user of a right to free himself from the duty to perform the contract in the absence of availability of performance, if the user does not agree to
   a) inform the other party to the contract without undue delay, of the unavailability, and
   b) reimburse the other party to the contract for consideration, without undue delay.

[…]

§ 309

Prohibited clauses without the possibility of evaluation

Even to the extent that a deviation from the statutory provisions is permissible, the following are ineffective in standard business terms:

1. (Price increases at short notice) a provision providing for an increase in payment for goods or services that are to be delivered or rendered within four months of the entering into of the contract; this does not apply to goods or services delivered or rendered in connection with continuing obligations;

[…]

6. (Contractual penalty) a provision by which the user is promised the payment of a contractual penalty in the event of non-acceptance or late acceptance of the performance, payment default or in the event that the other party to the contract frees himself from the contract;
7. (Exclusion of liability for injury to life, body or health and in case of gross fault)
   a) (Injury to life, body or health) any exclusion or limitation of liability for damage from injury to life, body or health due to negligent breach of duty by the user or intentional or negligent breach of duty by a legal representative or a person used to perform an obligation of the user;
   b) (Gross fault) any exclusion or limitation of liability for other damage arising from a grossly negligent breach of duty by the user or from an intentional or grossly negligent breach of duty by a legal representative of the user or a person used to perform an obligation of the user;
8. (Other exclusions of liability for breaches of duty)
   a) (Exclusion of the right to free oneself from the contract) a provision which, where there is a breach of duty for which the user is responsible and which does not consist in a defect of the thing sold or the work, excludes or restricts the right of the other party to free himself from the contract; this does not apply to the terms of transport and tariff rules referred to in no. 7 under the conditions set out there;
   b) (Defects) a provision by which in contracts relating to the supply of newly produced things and relating to the performance of work
      aa) (Exclusion and referral to third parties) the claims against the user due to defects in their entirety or in regard to individual parts are excluded, limited to the granting of claims against third parties or made dependent upon prior court action taken against third parties;
      bb) (Limitation to cure) the claims against the user are limited in whole or in regard to individual parts to a right to cure, to the extent that the right is not expressly

reserved for the other party to the contract to reduce the purchase price, if the cure should fail or, except where building work is the object of liability for defects, at its option to revoke the contract;

cc) (Expenses for cure) the duty of the user to bear the expenses necessary for the purpose of cure, in particular to bear transport, workmen's travel, work and materials costs, is excluded or limited;

dd) (Withholding cure) the user makes cure dependent upon prior payment of the entire fee or a portion of the fee that is disproportionate taking the defect into account;

ee) (Cut-off period for notice of defects) the user sets a cut-off period for the other party to the contract to give notice of non-obvious defects which is shorter than the permissible period of time under double letter (ff) below;

ff) (Making time-barring easier) the time-barring of claims against the user due to defects in the cases cited in § 438 (1) no. 2 and § 634a (1) no. 2 is made easier, or in other cases a time-barring period of less than one year reckoned from the beginning of the statutory time-barring period is attained;

[…]

12. (Burden of proof) a provision by which the user modifies the burden of proof to the disadvantage of the other party to the contract, in particular by

a) imposing on the latter the burden of proof for circumstances lying in the sphere of responsibility of the user, or

b) having the other party to the contract confirm certain facts; letter (b) does not apply to acknowledgements of receipt that are signed separately or provided with a separate qualified electronic signature;

[…]

14. (waiver of claim) a provision according to which the other party to the contract may assert its claims against the user in court only after it has attempted an amicable settlement in a procedure for out-of-court settlement of a dispute;

[…]

§ 310

Scope of application

(1) § 305 (2) and (3) and § 308 Nr. 1, 2 to 9 and § 309 do not apply to standard business terms which are used in contracts with a trader, a legal person under public law or a special fund under public law. § 307 (1) and (2) nevertheless apply to these cases in sentence 1 to the extent that this leads to the ineffectiveness of the contract provisions set out in § 308 Nr. 1, 2 to 9 and § 309; reasonable account must be taken of the practices and customs that apply in business dealings. In cases coming under sentence 1, § 307 (1) and (2) as well as § 308 Nr. 1a) and b) do not apply to contracts in which the entire Award Rules for Building Works, Part B [Vergabe- und Vertragsordnung für Bauleistungen Teil B - VOB/B] in the version applicable at the time of conclusion of the contract are included without deviation as to their content, relating to an examination of the content of individual provisions.

[…]

(3) In the case of contracts between a trader and a consumer (consumer contracts) the rules in this division apply with the following provisions:

1. Standard business terms are deemed to have been presented by the entrepreneur, unless they were introduced into the contract by the consumer;

2. § 305c (2) and §§ 306 and 307 to 309 of this Code and Article 46b of the Introductory Act to the Civil Code [Einführungsgesetz zum Bürgerlichen Gesetzbuche] apply to preformulated contract terms even if the latter are intended only for non-recurrent use on one occasion, and to the extent that the consumer, by reason of the preformulation, had no influence on their contents;

3. in judging an unreasonable disadvantage under § 307 (1) and (2), the other circumstances attending the entering into of the contract must also be taken into account.

[…]

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§ 311

Obligations created by legal transaction and obligations similar to legal transactions

(1) In order to create an obligation by legal transaction and to alter the contents of an obligation, a contract between the parties is necessary, unless otherwise provided by statute.

(2) An obligation with duties under § 241 (2) also comes into existence by

1. the commencement of contract negotiations,
2. the initiation of a contract where one party, with regard to a potential contractual relationship, gives the other party the possibility of affecting his rights, legal interests and other interests, or entrusts these to him, or
3. similar business contacts.

(3) [1]An obligation with duties under § 241 (2) may also come into existence in relation to persons who are not themselves intended to be parties to the contract. [2]Such an obligation comes into existence in particular if the third party, by laying claim to being given a particularly high degree of trust, substantially influences the pre-contract negotiations or the entering into of the contract.

§ 311a

Obstacle to performance when contract is entered into

(1) A contract is not prevented from being effective by the fact that under § 275 (1) to (3) the debtor does not need to perform and the obstacle to performance already exists when the contract is entered into.

(2) [1]The creditor may, at his option, demand damages in lieu of performance or reimbursement of his expenses in the extent specified in § 284. [2]This does not apply if the debtor was not aware of the obstacle to performance when entering into the contract and is also not responsible for his lack of awareness. [3]§ 281 (1) sentences 2 and 3 and (5) apply with the necessary modifications.

§ 311b

Contracts on plots of land, assets and an estate

(1) [1]A contract by which one party agrees to transfer or acquire ownership of a plot of land must be recorded by a notary. [2]A contract not entered into in this form becomes valid with all its contents if a declaration of conveyance and registration in the Land Register are effected.

(2) A contract by which one party agrees to transfer his future property or a fraction of his future property or to charge it with a usufruct is void.

(3) A contract by which one party agrees to transfer his present property or a fraction of his present property or to charge it with a usufruct must be recorded by a notary.

(4) [1]A contract relating to the estate of a third party who is still living is void. [2]The same applies to a contract relating to a compulsory portion or a legacy from the estate of a third party who is still living.

(5) [1](4) above does not apply to a contract entered into between future heirs on intestacy relating to the hereditary share on intestacy or the compulsory portion of one of them. [2]Such a contract must be recorded by a notary.

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§ 312
Scope of application

(1) The provisions of Chapters 1 and 2 of this Subtitle shall apply to consumer contracts under which the consumer undertakes to pay a price.
(1a) The provisions of Chapters 1 and 2 of this Subtitle shall also apply to consumer contracts under which the consumer provides or undertakes to provide personal data to the trader. This shall not apply if the trader processes the personal data provided by the consumer solely in order to fulfil his obligation to perform or legal requirements imposed on him and does not process them for any other purpose.
[...]

§ 312b
Off-premises contracts

(1) Off-premises contracts are contracts
1. that are concluded with the simultaneous physical presence of the consumer and of the trader, in a place which is not the business premises of the trader,
2. for which an offer was made by the consumer in the same circumstances as referred to in no. 1,
3. that are concluded on the business premises of the trader or through any means of distance communication, but where, immediately prior to such conclusion, the consumer had been personally and individually addressed, in a place which is not the business premises of the trader, in the simultaneous physical presence of the consumer and the trader, or
4. that are concluded during an excursion organised by the trader or with the trader's assistance, with the aim of promoting goods or services to the consumer and entering into the corresponding contracts with him.

(2) [1]Business premises within the meaning of (1) are immovable business premises in which the entrepreneur carries out his activity on a permanent basis and movable business premises in which the entrepreneur usually carries out his activity.[2] Business premises in which the person acting in the name of or on behalf of the entrepreneur carries out his activity on a permanent basis or usually shall be deemed to be premises of the entrepreneur.

§ 312c
Distance contracts

(1) Distance contracts are contracts for which the trader, or a person acting in the trader's name or on his behalf, and the consumer exclusively avail themselves of means of distance communication in negotiating and concluding the contract, except where the conclusion of the contract does not take place in the context of a sales or service-provision scheme organised for distance sales.
(2) Means of distance communication within the meaning of this Code are all means of communication which can be used to initiate or to conclude a contract, without requiring the simultaneous physical presence of the parties to the contract, such as letters, catalogues, telephone calls, faxes, emails, text messages sent via the mobile telephone service (SMS) as well as messages broadcast and digital services pursuant to § 1 (4) 1. of the Digital Services Act.

§ 312d

Duty to inform

(1) In the case of contracts concluded away from business premises and distance contracts, the trader is obliged to inform the consumer in accordance with Article 246a of the Introductory

Act to the Civil Code. The information provided by the trader in fulfilment of this obligation shall become part of the contract unless the parties have expressly agreed otherwise.
(2) In the case of contracts concluded away from business premises and distance contracts for financial services, the trader shall, by way of derogation from paragraph 1, inform the consumer in accordance with Article 246b of the Introductory Act to the Civil Code.

§ 312g
Right of withdrawal

(1) In the case of off-premises contracts and of distance contracts, the consumer has a right of withdrawal pursuant to § 355.
(2) Unless otherwise agreed by the parties, the right of withdrawal shall not exist for the following contracts:

1. contracts for the supply of goods that are not pre-fabricated and the production of which is governed by an individual choice of or decision by the consumer, or that are clearly tailored to personal needs of the consumer,
2. contracts for the supply of goods which are highly perishable, or which may quickly pass their expiration date,
3. contracts for the supply of sealed goods which are not suitable for return due to health protection or hygiene reasons, if such goods were unsealed after delivery,

[…]

9. subject to the stipulations of sentence 2, contracts for the provision of services in the fields of accommodation other than for residential purposes, transport of goods, car rental services, deliveries of food and beverages, or services related to leisure activities, if the contract provides for a specific date or period of performance,

[…]

13. contracts that are notarially recorded; this shall apply to distance contracts relating to financial services only in those cases in which the notary confirms that the rights of the consumer set out in § 312d (2) are safeguarded.

[…]

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§ 312k Termination of consumer contracts in electronic commerce

(1) If consumers are enabled via a website to conclude a contract in electronic commerce which is directed towards the establishment of a continuing obligation which obliges a trader to provide a service for consideration, the trader shall be subject to the obligations under this provision. This shall not apply
1. to contracts for the termination of which a stricter form than text form is exclusively provided for by law, and
2. in relation to websites concerning financial services or contracts concerning financial services.
(2) The trader shall ensure that the consumer can make a declaration on the website regarding the ordinary or extraordinary termination of a contract that can be concluded on the website in accordance with paragraph 1 sentence 1 via a termination button. The cancellation button shall be clearly and legibly labelled with nothing other than the words 'Cancel contracts here' or an equivalent unambiguous wording. It must lead the consumer directly to a confirmation page that
1. Requests and allows the consumer to provide information about
a) the nature of the termination and, in the case of extraordinary termination, the reason for termination

b) on his unique identifiability
c) the unambiguous designation of the contract,
d) the date on which the termination is intended to end the contractual relationship,
e) the rapid electronic transmission of the termination confirmation to him; and
2. A confirmation button which the consumer can use to make the termination declaration and which is clearly and legibly labelled with nothing other than the words 'terminate now' or an equivalent unambiguous wording.
The buttons and the confirmation page shall be permanently available and immediately and easily accessible.
(3) The consumer must be able to store his termination declaration made by pressing the confirmation button with the date and time of submission on a durable medium in such a way that it is recognisable that the termination declaration was made by pressing the confirmation button.
(4) The trader shall immediately confirm to the consumer by electronic means in text form the content as well as the date and time of receipt of the termination declaration and the time at which the contractual relationship is to be terminated by the termination. It shall be presumed that a termination declaration made by pressing the confirmation button was received by the trader immediately after it was made.
(5) If, when submitting the termination declaration, the consumer does not specify a time at which the termination is to end the contractual relationship, the termination shall, in case of doubt, take effect at the earliest possible time.
(6. If the buttons and the confirmation page are not provided in accordance with paragraphs 1 and 2, a consumer may terminate a contract for the termination of which the buttons and the confirmation page are to be provided at any time and without notice. This shall be without prejudice to the consumer's right of extraordinary termination.

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§ 314

Termination, for a compelling reason, of contracts for the performance of a continuing obligation

(1) Each party may terminate a contract for the performance of a continuing obligation for a compelling reason without a notice period. There is a compelling reason if the terminating party, taking into account all the circumstances of the specific case and weighing the interests of both parties, cannot reasonably be expected to continue the contractual relationship until the agreed end or until the expiry of a notice period.

(2) If the compelling reason consists in the breach of a duty under the contract, the contract may be terminated only after the expiry without result of a period specified for relief or after a warning notice without result. Section 323 (2) number 1 und 2 applies, with the necessary modifications, as regards the dispensability of specifying a period for such relief and as regards the dispensability of a warning notice. Specifying a period for relief and issuing a warning notice can also be dispensed with if special circumstances are given which, when the interests of both parties are weighed, justify immediate termination.

(3) The person entitled may give notice only within a reasonable period after obtaining knowledge of the reason for termination.

(4) The right to demand damages is not excluded by the termination.

§ 323 Revocation for nonperformance or for performance not in conformity with the contract

(1) If, in the case of a reciprocal contract, the debtor does not render an act of performance which is due, or does not render it in conformity with the contract, then the creditor may revoke

the contract, if he has specified, without result, a (reasonable)[1] additional period for performance or cure.
(2) The specification of a period of time can be dispensed with if

1. the debtor seriously and definitively refuses performance,
2. the debtor does not render performance by a date specified in the contract or within a period specified in the contract, in spite of the fact that, according to a notice given by the creditor to the debtor prior to conclusion of the contract or based on other circumstances attending at the time of its conclusion, the performance as per the date specified or within the period specified is of essential importance to the creditor, or
3. in the case of work not having been carried out in accordance with the contract, special circumstances exist which, when the interests of both parties are weighed, justify immediate revocation.

(3) If the nature of the breach of duty is such that setting a period of time is out of the question, a warning notice is given instead.
(4) The creditor may revoke the contract before performance is due if it is obvious that the requirements for revocation will be met.
(5) [1]If the debtor has performed in part, the creditor may revoke the whole contract only if he has no interest in part performance. [2]If the debtor has not performed in conformity with the contract, the creditor may not revoke the contract if the breach of duty is trivial.
(6) Revocation is excluded if the creditor is solely or very predominantly responsible for the circumstance that would entitle him to revoke the contract or if the circumstance for which the debtor is not responsible occurs at a time when the creditor is in default of acceptance.

§ 324
Revocation for breach of a duty under § 241 (2)

If the obligor, in the case of a reciprocal contract, breaches a duty under § 241 (2), the obligee may revoke the contract if he can no longer reasonably be expected to uphold the contract.

§ 325
Damages and revocation

The right to demand damages in the case of a reciprocal contract is not excluded by revocation.

§ 326
Release from consideration and revocation where the duty of performance is excluded

(1) [1]If, under § 275 (1) to (3), the debtor is not obliged to perform, there is no entitlement to consideration; in the case of part performance, § 441 (3) applies with the necessary modifications. [2]Sentence 1 does not apply if the debtor, in the case of failure to perform in conformity with the contract, does not, under § 275 (1) to (3), have to effect cure.
(2) [1]If the creditor is solely or very predominantly responsible for the circumstance due to which the debtor does not, under § 275 (1) to (3), have to effect cure, or if this circumstance for which the debtor is not responsible occurs at a time when the creditor is in default of acceptance, the debtor retains the entitlement to consideration. [2]However, he must allow to be credited against him what he saves due to release from performance or acquires or wilfully fails to acquire from other use of his labour.
(3) [1]If the creditor demands, under § 285, return of reimbursement obtained for the object owed or assignment of the claim to reimbursement, he remains obliged to render consideration.

[1] At this point, the English translation does not correspond to the German law. Under German law, the required period must be reasonable. Therefore, this version differs from the original English legal text.

[2]However, the latter is reduced under § 441 (3) to the extent that the value of the reimbursement or of the claim to reimbursement falls short of the value of the performance owed.
(4) To the extent that the consideration that is not owed under this provision is effected, what is performed may be claimed back under §s 346 to 348.
(5) If, under § 275 (1) to (3), the debtor does not have to perform, the creditor may revoke; § 323 applies with the necessary modifications to the revocation, subject to the provison that it is not necessary to specify a period of time.

§ 327 Scope of application

(1) The provisions of this subtitle shall apply to consumer contracts which have as their object the provision of digital content or digital services (digital products) by the trader against payment of a price. For the purposes of this Subtitle, price includes a digital representation of value.
(2) Digital content is data created and provided in digital form. Digital services are services which provide the consumer with
1. The creation, processing or storage of data in digital form, or access to such data; or
2. Allow the sharing of, or other interaction with, data uploaded or created in digital form by the consumer or other users of the relevant service.
(3) The provisions of this Subtitle shall also apply to consumer contracts for the provision of digital products where the consumer provides or undertakes to provide personal data to the trader, unless the conditions of Section 312(1a), second sentence, are met.
(4) The provisions of this Subtitle shall also apply to consumer contracts which have as their object digital products which are developed according to the consumer's specifications.
(5) The provisions of this Subtitle, with the exception of sections 327b and 327c, shall also apply to consumer contracts which have as their object the provision of physical data carriers which serve exclusively as carriers of digital content.
(6) The provisions of this Subtitle shall not apply to:
1. Contracts for services other than digital services, whether or not the trader uses digital forms or means to generate the result of the service or to deliver or transmit it to the consumer,
[…]
5. Contracts for financial services,
6.Contracts for the provision of software for which the consumer does not pay a price and which is offered by the trader under a free and open source licence, provided that the personal data provided by the consumer is processed by the trader solely for the purpose of improving the security, compatibility or interoperability of the software offered by the trader,
7. Contracts for the supply of digital content where the digital content is made available to the public by means other than signal transmission as part of a performance or event,
[…]

§ 327c
Rights in the case of failure to effect supply

(1) If the trader’s obligation to supply the digital product has fallen due and the trader fails to comply with it without undue delay upon the consumer’s demand, then the consumer may terminate the contract. Once a demand as per sentence 1 has been made, it is possible to arrange a different time for the supply only by express agreement.
(2) Where the prerequisites for terminating the contract in accordance with subsection (1) sentence 1 have been met, the consumer may demand compensation of damages in accordance with sections 280 and 281 (1) sentence 1 or reimbursement of futile expense in accordance with section 284, provided that the prerequisites stipulated in said provisions have been met. Section

281 (1) sentence 1 is to be applied subject to the proviso that the specification of a reasonable period is replaced by the demand as per subsection (1) sentence 1. Claims of the consumer to compensation of damages as defined in sections 283 and 311a (2) remain unaffected.
(3) The demand as per subsection (1) sentence 1 and (2) sentence 2 may be dispensed with if

1. the trader refuses to effect supply,

2. it is clearly recognisable from the circumstances that the trader will not supply the digital product, or

3. the trader fails to effect supply by a specified date or within a specified period of time despite its having been agreed, or its being evident to the trader from the clearly recognisable circumstances attending the conclusion of the contract that a specific time or period of time for the supply is essential for the consumer.

In the cases governed by sentence 1, the dunning letter defined in section 286 may be dispensed with in all cases.
(4) Sections 327o and 327p are to be applied accordingly the termination of the contract on the basis of subsection (1) sentence 1 and the legal consequences of such termination. The same applies in the event of the consumer demanding, in the cases governed by subsection (2), compensation of damages instead of the entire performance. Section 325 applies accordingly.
(5) Section 218 is to be applied accordingly to the termination of the contract on the basis of subsection (1) sentence 1.
(6) Should the consumer be in a position to terminate the contract on the basis of subsection (1) sentence 1, they may rescind the contract with regard to the entirety of the elements of the bundle contract if they have no interest in the other part of the bundle contract without the digital product that has not been supplied. Sentence 1 is not to be applied to bundle contracts in which the other element is a telecommunications service as defined in section 3 no. 61 of the Telecommunications Act.
(7) Should the consumer be in a position to terminate the contract on the basis of subsection (1) sentence 1, they may rescind the contract with regard to all elements of a contract in accordance with section 327a (2) if, because of the digital product not having been supplied, the thing is not suitable for customary use.

§ 327m
Termination of the contract and compensation of damages

(1) If the digital product is deficient, the consumer may terminate the contract on the basis of section 327o if

1. the claim to cure is excluded by virtue of section 327l (2)

2. the consumer’s claim to cure was not complied with as stipulated in section 327l (1),

3. a deficiency becomes apparent in spite of the trader’s attempts to effect cure,

4. the deficiency is so serious that the immediate termination of the contract is justified,

5. the trader has refused to effect the proper cure as defined in section 327l (1) sentence 2, or

6. it is obvious from the circumstances that the trader will not effect the proper cure as defined in section 327l (1) sentence 2.

(2) A termination of the contract on the basis of subsection (1) is excluded if the deficiency is trivial. This does not apply to consumer contracts as defined in section 327 (3).
(3) In the cases governed by subsection (1) nos. 1 to 6, the consumer may demand compensation of damages instead of performance, provided the prerequisites stipulated in section 280 (1) have been met. Section 281 subsection (1) sentence 3 and subsection (4) are to be applied accordingly. Where the consumer demands compensation of damages instead of the full performance, the trader is entitled to claim the return of its performance under the terms of sections 327o and 327p. Section 325 applies accordingly.
(4) Should the consumer be in a position to terminate the contract on the basis of subsection (1), they may rescind the contract with regard to the entirety of the elements of the bundle contract if they have no interest in the other part of the bundle contract without the deficient digital product. Sentence 1 is not to be applied to bundle contracts in which the other element is a telecommunications service as defined in section 3 no. 61 of the Telecommunications Act.
(5) Should the consumer be in a position to terminate the contract on the basis of subsection (1), they may rescind the contract with regard to all elements of a contract in accordance with section 327a (2) if, because of the deficiency of the digital product, the thing is not suitable for customary use.

§ 327o
Declaration of termination of contract and its legal consequences

(1) The termination of the contract is effected by a declaration being made to the trader in which the consumer's decision to terminate is expressed. Section 351 is to be applied accordingly.
(2) In the case of the contract being terminated, the trader is to reimburse the consumer for the payments that the consumer has made in performance of the contract. The trader's claim to payment of the agreed price ceases to exist in relation to performance that no longer is to be rendered due the contract's termination.
(3) In derogation from subsection (2) sentence 2, the trader's claim ceases to exist also for performance already rendered under contracts on the continuous supply of a digital product, but only for that phase of the supply period during which the digital product was deficient. The price paid for the period of time regarding which the claim has ceased to exist as per sentence 1 is to be reimbursed to the consumer.
(4) Section 327n (4) sentences 2 to 5 is to be applied accordingly to the reimbursements stipulated by subsections (2) and (3).
(5) The consumer is obliged to return to the trader without undue delay a tangible medium the latter has supplied if the trader so demands, such demand to be made no later than 14 days after termination of the contract. The trader is to bear the costs of the return shipment. Section 348 is to be applied accordingly.

§ 327r Modifications of digital products

(1) In the case of continuous supply, the trader may make modifications to the digital product going beyond the degree required to keep it in conformity as defined in section 327e (2) and (3) and section 327f only if
1. the contract provides for this possibility and sets out a valid reason for doing so,
2. no additional costs are imposed on the consumer by the modification and
3. the consumer is informed in clear and comprehensible terms of the modification.

(2) The trader may make a modification to the digital product that impairs the consumer's ability to access the digital product or the usability of the digital product for the consumer only

if the trader informs the consumer thereof via a durable medium within a reasonable time limit prior to the time of the modification. The information must provide the following details:
1. features of the modification and the point in time at which it will be made,
2. the rights of the consumer as defined in subsections (3) and (4).
Sentence 1 does not apply if the impairment of the ability to access the digital product or of its usability is merely trivial.
(3) Where a modification of the digital product impairs the ability to access it or its usability within the meaning of subsection (2) sentence 1, the consumer may terminate the contract within 30 days at no charge. The period of time commences running upon receipt of the information defined in subsection (2). Where the modification is made after the information has been received, the point in time at which the information is received is replaced by the point in time at which the modification is made.
(4) Termination of the contract on the basis of subsection (3) sentence 1 is excluded if
1. impairment of the ability to access the digital product or of its usability is merely trivial or
2. the consumer retains the ability to access the unmodified digital product and the unmodified digital product continues to be usable for the consumer without any additional cost.
(5) Sections 327o and 327p are to be applied accordingly to the termination of the contract on the basis of subsection (3) sentence 1 and to the legal consequences of such termination.
(6) Subsections (1) to (5) are not to be applied to bundle contracts in which the other element of the bundle contract has as its subject matter the supply of an internet access service or of a publicly accessible number-based interpersonal communications service as part of a bundle contract as defined in section 66 (1) of the Telecommunications Act.

§ 346
Effects of revocation

(1) If one party to a contract has contractually reserved the right to revoke or if he has a statutory right of revocation, then, in the case of revocation, performance received and emoluments taken are to be returned.
(2) [1]In lieu of restitution or return, the debtor must provide compensation for value, to the extent that

1. restitution or return is excluded by the nature of what has been obtained,
2. he has used up, disposed of, encumbered, processed or redesigned the object received,
3. the object received has deteriorated or has been destroyed; but deterioration that is caused by the object being used in accordance with its intended use is not taken into account.

[2]If consideration is specified in the contract, then this is to be used as a basis when the compensation for value is calculated; if compensation for value for the benefit of use of a loan is to be paid, it can be shown that the value of the benefit of use was lower.
(3) [1]The duty to compensate for value does not apply

1. if the defect justifying revocation only became apparent during processing or transformation of the object,
2. to the extent that the creditor is responsible for the deterioration or destruction or that the damage would also have occurred if the object had remained with the creditor,
3. if in case of statutory revocation the deterioration or destruction occurred with the person entitled, although the latter showed the care that he customarily exercises in his own affairs.

[2]Any remaining enrichment must be returned.
(4) The creditor may demand damages, in accordance with s 280 to 283, for breach of a duty under (1) above.

§ 348
Reciprocal and simultaneous performance

[1]The obligations of the parties arising from revocation are to be performed reciprocally and simultaneously. [2]The provisions of §§ 320 and 322 apply with the necessary modifications.

§ 349
Declaration of revocation

Revocation is effected by declaration to the other party.

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§ 355
Right of withdrawal in consumer contracts

(1) [1]If a consumer is given, by statute, a right of withdrawal according to this provision, then the consumer and the trader are no longer bound by their declarations of intention to conclude the contract if the consumer withdraws from his declaration of intention within the period specified. [2]The withdrawal is effected by a declaration being made to the trader. [3]The declaration must unambiguously reflect the consumer's decision to withdraw from the contract. [4]The withdrawal does not have to provide any grounds. [5]Dispatch of the withdrawal in good time is sufficient to comply with the time limit.
(2) [1]The withdrawal period is fourteen days. [2]Unless otherwise provided, it begins upon the contract having been concluded.
(3) [1]In the case of the contract being withdrawn from, the performance received is to be returned without undue delay. [2]Where the law has specified a maximum period within which restitution is to be made, this shall commence running for the trader upon receipt of the declaration of withdrawal and, for the consumer, upon dispatch of the declaration of withdrawal. [3]A consumer will be complying with this period by dispatching the goods in good time. [4]In the event of withdrawal, the trader bears the risk of the return shipment of the goods.

§ 356
Right of withdrawal in off-premises contracts and distance contracts

(1) [1]The trader may provide the consumer with the opportunity to complete and transmit the model withdrawal form pursuant to schedule 2 to Article 246a § 1 (2) sentence 1 no. 1 of the Introductory Act to the Civil Code, or some other unambiguous declaration of withdrawal, on the trader's website. [2]Where the consumer avails himself of this opportunity, the trader must confirm receipt of the withdrawal to the consumer without undue delay on a durable medium.
(2) The withdrawal period commences

1. in the case of a sale of consumer goods
    a) that is not governed by letters b to d as soon as the consumer or a third party named by the consumer, such third party not being a carrier, has received the goods,

[…]

(3) [1]The withdrawal period does not commence prior to the trader having informed the consumer in accordance with the requirements of Article 246a section 1 (2) sentence 1 no. 1 or of Article 246b section 2 (1) of the Introductory Act to the Civil. [2]The right of withdrawal expires at the latest twelve months and fourteen days following the point in time set out in (2) or § 355 (2) sentence 2. Sentence 2 does not apply to contracts relating to financial services.
[…]
(5) The right of withdrawal expires for contracts for the provision of digital content not on a tangible medium under the following conditions:

1. in the case of a contract which does not oblige the consumer to pay a price, when the trader has started to perform the contract,
2. in the case of a contract that obliges the consumer to pay a price, if
   a) the trader has commenced performance of the contract,
   b) the consumer has expressly consented to the trader commencing performance of the contract before expiry of the withdrawal period,
   c) the consumer has confirmed that he is aware that his right of withdrawal expires with the commencement of the performance of the contract as a result of his consent in accordance with point (b), and
   d) the trader has provided the consumer with a confirmation in accordance with § 312f.

§ 356a Right of withdrawal in the case of timeshare contracts, long-term holiday product contracts, brokerage contracts, and exchange system contracts

(1) The withdrawal is to be declared in text form.

(2) The withdrawal period commences at the time of conclusion of the contract or of the conclusion of a preliminary contract. If the consumer does not receive the contractual document or the copy of the contract until after conclusion of the contract, the withdrawal period commences at the time of receipt.

(3) If the consumer has not been provided with the pre-contractual information designated in section 482 (1) or with the form designated in Article 242 section 1 (2) of the Introductory Act to the Civil Code (Einführungsgesetz zum Bürgerlichen Gesetzbuche) prior to conclusion of the contract, not completely or not in the language prescribed in section 483 (1), then the withdrawal period, notwithstanding subsection (2), will not commence until complete receipt of the pre-contractual information and of the form in the prescribed language. The right of withdrawal becomes extinct at the latest three months and fourteen days after the time designated in subsection (2).

(4) If the consumer has not been provided with the instruction regarding withdrawal designated in section 482a before the contract has been concluded, either not completely or not in the language prescribed in section 483 (1), then the withdrawal period, notwithstanding subsection (2), will not commence until the complete the instructions on withdrawal has been received in the prescribed language. Where appropriate, the right of withdrawal expires in derogation subsection (3) sentence 2 at the latest twelve months and fourteen days after the time cited in subsection (2).

(5) If the consumer has concluded a timeshare contract and an exchange system contract, and if these contracts have been offered to them at the same time, the withdrawal period for both contracts commences at the time applicable under subsection (2) to the timeshare contract. Subsections (3) and (4) apply accordingly.

§ 356b Right of withdrawal in the case of consumer credit agreements

(1) The withdrawal period does not commence before the lender has provided the borrower with a contract document intended for the latter, with the written application of the borrower or with a copy of the contract document or of their application.

(2) Where, in the case of a general-purpose consumer credit agreement, the contract document provided to the borrower pursuant to subsection (1) does not include the obligatory information regarding the right of withdrawal required by section 492 (2), the withdrawal period will commence only upon this information being provided subsequently in accordance with section 492 (6). Where, in the case of a consumer credit agreement relating to immovable property, the contract document provided to the borrower pursuant to subsection (1) does not include the obligatory information regarding the right of withdrawal required pursuant to section 492 (2) in conjunction with Article 247 section 6 (2) of the Introductory Act to the Civil Code (Einführungsgesetz zum Bürgerlichen Gesetzbuche), the withdrawal period commences only upon the subsequent provision of this information pursuant to section 492 (6). In the cases governed by sentences 1 and 2, the withdrawal period amounts to one month. The right of withdrawal from consumer credit agreements relating to immovable property expires no later than twelve months and fourteen days after the time of conclusion of the contract or after the point in time designated in subsection (1), where this is after the time of conclusion of the contract.

(3) In the event provided for by section 494 (7), the period for withdrawing from a general-purpose consumer credit agreement commences only once the borrower has received the copy of the contract designated therein.

§ 356c Right of withdrawal in the case of contracts for delivery by instalments

(1) In the case of a contract for delivery by instalments that is neither a distance contract nor an off-premises contract, the withdrawal period does not commence prior to the trader having informed the consumer pursuant to Article 246 (3) of the Introductory Act to the Civil Code (Einführungsgesetz zum Bürgerlichen Gesetzbuche) as to the latter's right of withdrawal.

(2) Section 356 (1) applies accordingly. The right of withdrawal expires no later than twelve months and fourteen days following the point in time set out in section 355 (2) sentence 2

§ 356d Withdrawal right of the consumer in the case of credit agreements for a gratuitous loan and in the case of gratuitous financial accommodation

In the case of a contract by which a trader grants to a consumer a gratuitous loan or gratuitous financial accommodation, the withdrawal period will not commence, in derogation from section 355 (2) sentence 2, prior to the trader having informed the consumer pursuant to the stipulations of section 514 (2) sentence 3 as to the latter's right of withdrawal. The right of withdrawal expires no later than twelve months and fourteen days after the time of conclusion of the contract or after the point in time designated in sentence 1, where this is after the time of conclusion of the contract.

§ 356e Right of withdrawal in the case of construction contracts with consumers

In the case of a construction contract with a consumer (section 650i (1)), the withdrawal period will not commence prior to the trader having informed the consumer pursuant to Article 249 (3) of the Introductory Act to the Civil Code (Einführungsgesetz zum Bürgerlichen

Gesetzbuche) as to the latter's right of withdrawal. The right of withdrawal expires no later than twelve months and fourteen days after the time set out in section 355 (2) sentence 2.

§ 357
Legal consequences of withdrawal from off-premises contracts and distance contracts, to the exception of contracts relating to financial services

(1) The performance received is to be restituted at the latest after fourteen days.
(2) [1]The trader must also restitute any payments the consumer may have made for the delivery. [2]This does not apply inasmuch as the consumer has incurred additional costs because he opted for a type of delivery other than the least expensive type of standard delivery offered by the trader.
(3) [1]In making the repayment, the trader must use the same means of payment that the consumer used in making the payment. [2]Sentence 1 does not apply if the parties expressly have agreed otherwise and the consumer does not incur any costs as a result.
(4) [1]In the case of a sale of consumer goods, the trader may refuse to make repayment until he has received the returned goods or the consumer has provided proof that he has dispatched the goods. [2]This does not apply if the trader has offered to collect the goods.
(5) The consumer shall bear the direct costs of returning the goods if the entrepreneur has informed the consumer of this obligation in accordance with Article 246a § 1 (2) sentence 1 number 2 of the Introductory Act to the Civil Code. Sentence 1 shall not apply if the entrepreneur has agreed to bear these costs.
(6) The consumer is not obliged to return the goods if the entrepreneur has offered to pick up the goods.
(7) In the case of off-premises contracts, in the context of which the goods were delivered to the consumer's dwelling at the time the contract was concluded, the trader is obliged to collect the goods at his own costs if, by their nature, these goods cannot be returned by post.
[…]
(9) Where the consumer withdraws from a contract for the supply of digital content that is not contained in a tangible medium, he shall not compensate for value.

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§ 362
Extinction by performance

(1) An obligation is extinguished if the performance owed is rendered to the creditor.
(2) If performance is rendered to a third party for the purpose of performing the contract, the provisions of § 185 apply.

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§ 398
Assignment

[1]A claim may be transferred by the obligee to another person by contract with that person (assignment). [2]When the contract is entered into, the new obligee steps into the shoes of the previous obligee.

§ 399
Exclusion of assignment in case of change of contents or by agreement

A claim may not be assigned if the performance cannot be made to a person other than the original obligee without a change of its contents or if the assignment is excluded by agreement with the obligor.

§ 400
Exclusion in case of unpledgeable claims

A claim may not be assigned to the extent that it is not subject to pledge.

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§ 433
Typical contractual duties in a purchase agreement

(1) [1]By a purchase agreement, the seller of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer. [2]The seller must procure the thing for the buyer free from material and legal defects.
(2) The buyer is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.

§ 434
Material defects

(1) The thing is free from material defects if, upon the passing of the risk, the thing is conform with the subjective requirements, the objective requirements and the assembly requirements of this provision.
(2) [1]The thing is conform with the subjective requirements, if

1. the thing has the agreed quality,
2. it is suitable for the use intended under the contract and
3. it is supplied along with the agreed accessories and the agreed instructions including the assembly and installation instructions.

[2]Quality under sentence 1 no. 1 includes description, quantity, quality, functionality, compatibility, interoperability and other features of the thing for which the parties have agreed on requirements.
(3) [1]Unless the parties have effectively agreed otherwise, the thing is conform with the objective requirements, if

1. it is suitable for the customary use,
2. its quality is usual in things of the same kind and the buyer may expect this quality taking into account
    a. the nature of the thing and
    b. any public statement made by the trader, or other persons in previous links of the chain of transactions, or on their behalf, particularly in advertising or on labelling,
3. it corresponds to the quality of a sample or specimen provided by the seller to the buyer before the conclusion of the contract, and
4. it is supplied along with any accessories including the packaging, the assembly instructions and installation instructions as well as instructions which the buyer may expect to receive.

[2]Quality under sentence 1 no. 2 includes quantity, quality and other features of the thing including its durability, functionality, compatibility and safety. [3]The seller is not bound by the public statements referred to in sentence 1 no. 2 letter b, if the seller was not aware of the statement and also had no duty to be aware of it, or at the time when the contract was entered into it had been corrected in the same manner or in a manner of equal value, or it could not influence the decision to purchase the thing.
(4) As far as an assembly is to be carried out, the thing is conform with the assembly requirements, if the assembly

1. has been carried out properly or

2. has been carried out improperly, however this is neither due to improper installation by the seller nor due to a defect in the instructions provided by the seller.

(5) Supply by the seller of a different thing is equivalent to a material defect.

§ 435
Legal defects

[1]The thing is free of legal defects if third parties, in relation to the thing, can assert either no rights, or only the rights taken over in the purchase agreement, against the buyer. [2]It is equivalent to a legal defect if a right that does not exist is registered in the Land Register.

§ 437
Rights of buyer in the case of defects

If the thing is defective, the buyer may, provided the requirements of the following provisions are met and unless otherwise specified,

1. under § 439, demand cure,
2. revoke the agreement under §§ 440, 323 and 326 (5) or reduce the purchase price under § 441, and
3. under §§ 440, 280, 281, 283 and 311a, demand damages, or under § 284, demand reimbursement of futile expenditure.

§ 438
Time-barring of claims for defects

(1) The claims cited in § 437 no. 1 and 3 become time-barred

1. in thirty years, if the defect consists
   a) a real right of a third party on the basis of which return of the purchased thing may be demanded, or
   b) some other right registered in the Land Register,
2. in five years
   a) in relation to a building, and
   b) in relation to a thing that has been used for a building in accordance with the normal way it is used and has resulted in the defectiveness of the building, and
3. otherwise in two years.

(2) In the case of a plot of land the time-barring period commences upon the delivery of possession, in other cases upon delivery of the thing.

(…)

(5) § 218 and (4) sentence 2 above apply with the necessary modifications to the right to reduce the price set out in § 437.

§ 439
Cure

(1) As cure the buyer may, at his choice, demand that the defect is remedied or a thing free of defects is supplied.

(2) The seller must bear all expenses required for the purpose of cure, in particular transport, workmen’s travel, work and materials costs.

(3) If the buyer has installed the defective thing, in accordance with its nature and its intended use, into or onto another thing, before the defect became apparent, in regard to cure the seller is obliged to reimburse the buyer for the necessary expenses for removing the defective thing and for installation or attachment of the repaired or delivered thing free of material defects.

(4) [1]Without prejudice to § 275 (2) and (3), the seller may refuse to provide the kind of cure chosen by the buyer, if this cure is possible only at disproportionate expense. [2]In this

connection, account must be taken in particular, without limitation, of the value of the thing when free of defects, the importance of the defect and the question as to whether recourse could be had to the alternative kind of cure without substantial detriment to the buyer. [3]The claim of the buyer is restricted in this case to the alternative kind of cure; the right of the seller to refuse the alternative kind of cure too, subject to the requirements of sentence 1 above, is unaffected.
(5) The buyer must make the thing available to the seller for the purpose of cure.
(6) [1]If the seller supplies a thing free of defects for the purpose of cure, he may demand the return of the defective thing in accordance with §§ 346 to 348. [2] The seller must take back the replaced thing at its own expense.

§ 440
Special provisions on revocation and damages

[1]Except in the cases set out in § 281 (2) and § 323 (2), it is also not necessary to specify a period of time if the seller has refused to carry out both kinds of cure under § 439 (4) or if the kind of cure that the buyer is entitled to receive has failed or cannot reasonably be expected of him. [2]A repair is deemed to have failed after the second unsuccessful attempt, unless in particular the nature of the thing or of the defect or the other circumstances leads to a different conclusion.

§ 441
Reduction of price

(1) [1]Instead of revoking the agreement, the buyer may, by declaration to the seller, reduce the purchase price. [2]The ground for exclusion under § 323 (5) sentence 2 does not apply.
(2) If more than one person comprises either the buyer or the seller, price reduction may be declared only by all or to all of them.
(3) [1]In the case of a price reduction, the purchase price is to be reduced in the proportion in which the value of the thing free of defects would, at the time when the contract was entered into, have had to the actual value. [2]To the extent necessary, the price reduction is to be established by appraisal.
(4) [1]If the buyer has paid more than the reduced purchase price, the excess amount is to be reimbursed by the seller. [2]§ 346 (1) and § 347 (1) apply with the necessary modifications.

§ 442
Knowledge of the buyer

(1) [1]The rights of the buyer due to a defect are excluded if he has knowledge of the defect at the time when the contract is entered into. [2]If the buyer has no knowledge of a defect due to gross negligence, the buyer may assert rights in relation to this defect only if the seller fraudulently concealed the defect or gave a guarantee of the quality of the thing.
(2) A right registered in the Land Register must be removed by the seller even if the buyer is aware of it.

§ 443
Guarantee

(1) Where the seller, the producer or some other third party enters into obligation, in addition to his statutory liability for defects, by way of making a declaration or in relevant advertising that was available prior to the purchase agreement being concluded or at the time of its conclusion, such obligation being in particular to reimburse the purchase price, to exchange the thing, to repair it or to provide services in this context should the thing not exhibit the quality or not fulfil other requirements than those concerning its freedom from defects, in each case as described in the declaration or in the relevant advertisement (guarantee), the buyer shall be entitled, in the case of a guarantee having been given, and notwithstanding his statutory claims,

to the rights under the guarantee in relation to the person who has given the guarantee (guarantor).
(2) To the extent that the guarantor gives a guarantee as to the thing having a specified quality for a specified period (guarantee of durability), the presumption will be that a material defect which appears during the guarantee period triggers the rights under the guarantee.

§ 444
Exclusion of liability

The seller may not invoke an agreement that excludes or restricts the rights of the buyer with regard to a defect insofar as the seller fraudulently concealed the defect or gave a guarantee of the quality of the thing.

§ 446
Passing of risk and of charges

[1]The risk of accidental destruction and accidental deterioration passes to the buyer upon delivery of the thing sold. [2]From the time of delivery the emoluments of the thing accrue to the buyer and he bears the charges on it. [3]If the buyer is in default of acceptance of delivery, this is equivalent to delivery.

§ 447
Passing of risk in the case of sales shipment

(1) If the seller, at the request of the buyer, ships the thing sold to another place than the place of performance, the risk passes to the buyer as soon as the seller has handed the thing over to the forwarder, carrier or other person or body specified to carry out the shipment.
(2) If the buyer has given a particular instruction on the method of shipping the thing and the seller, without a strong reason, does not adhere to this instruction, the seller is liable to the buyer for the damage arising from this.

§ 449
Retention of title

(1) If the seller of a movable thing has retained title until payment of the purchase price, then in case of doubt it is to be assumed that ownership is transferred subject to the condition precedent that the purchase price is paid in full (retention of title).
(2) Retention of title entitles the seller to demand the return of the thing only if he has revoked the agreement.
(3) An agreement on retention of title is void to the extent that the passing of ownership is made subject to the satisfaction by the buyer of third-party claims, including, without limitation, those of an enterprise associated with the seller.

§ 453
Purchase of rights;
Consumer contract for the sale of digital content

(1) [1]The provisions on the purchase of things apply with the necessary modifications to the purchase of rights and other objects. [2]The following provisions shall not apply to a consumer contract for the sale of digital content by a trader:

1. § 433 (1) sentence 1 and § 475 (1) on the transfer of the purchased item and the time of performance and
2. § 433 (1) sentence 2, §§ 434 to 442, 475 (3) sentence 1, (4) to (6) and §§ 476 and 477 on rights in the event of defects.

[3]The provisions of Section 3, Title 2a, Subtitle 1 shall apply in place of the provisions not applicable under sentence 1.

[…]

§ 474
The concept of sale of consumer goods

(1) [1]Sales of consumer goods are contracts by which a consumer buys a good (§ 241a (1)) from a trader. [2]A contract will likewise constitute a sale of consumer goods where its subject matter comprises, in addition to the sale of a good, the provision of a service by the trader.
(2) [1]The following rules of this subtitle have concomitant application for the sale of consumer goods. [2]For second-hand goods that are sold at a publicly accessible auction (§ 312g (2) no. 10), this does not apply, if clear and comprehensive information that the provisions of this subtitle do not apply has been made easily available to the consumer.

§ 475
Applicable provisions

(1) [1]Where no period of time has been determined for the respective performance to be rendered pursuant to § 433 and none can be inferred from the circumstances given, the creditor may only demand the rendering of such performance, in derogation from § 271 (1), without undue delay. [2]In this case, the trader must deliver the good at the latest thirty days after the contract has been concluded. [3]The parties to the contract may effect the respective performance immediately.
(2) § 447 (1) applies subject to the proviso that the risk of accidental destruction and accidental deterioration shall devolve to the buyer only if the buyer has instructed the forwarder, carrier or other person or body tasked with carrying out the shipment and the trader has not named this person or body to the buyer previously.
(3) [1]§ 439 (6) applies to the purchase contracts regulated by this subtitle subject to the proviso that benefits are not to be surrendered or substituted by their value. [2]§§ 442, 445 and 447 (2) do not apply.
(4) The consumer can demand an advance payment from the trader for expenses which he incurs as part of cure pursuant to § 439 (2) and (3) and which have to be borne by the trader.
(5) The trader must carry out the cure within a reasonable time from the moment when the consumer informed him about the defect and without significant inconvenience to the consumer, taking into account the nature of the goods and the purpose for which the consumer needs the goods.
(6) [1]In the event of revocation or damages in lieu of complete performance due to a defect in the good, § 346 shall apply with the proviso that the trader shall bear the costs of returning the good. [2]§ 348 shall apply with the proviso that the consumer's proof of return shall be equivalent to the return of the good.

§ Section 475a
Consumer Sales Contract for Digital Products

(1) Section 433(1) sentence 2, sections 434 to 442, 475(3) sentence 1, (4) to (6), sections 475b to 475e and sections 476 and 477 on warranty rights do not apply to a contract for the sale of consumer goods involving a tangible data carrier which is used exclusively as a carrier of digital content. The provisions of Section 3, Title 2a, Subtitle 1 shall replace the provisions not applicable under the first sentence.
(2) The following provisions shall not apply to a contract for the sale of consumer goods which contains digital products or is connected to digital products in such a way that the goods can

perform their functions even without these digital products, with regard to those parts of the contract which concern the digital products:
1.
§ Section 433(1) sentence 1 and section 475(1) on the delivery of the goods and the time of performance; and
2.
§ Section 433 subsection 1 sentence 2, sections 434 to 442, 475 subsection 3 sentence 1, subsections 4 to 6, sections 475b to 475e and sections 476 and 477 on rights in the event of defects.
The provisions of Section 3, Title 2a, Subtitle 1 shall replace the provisions that are not applicable pursuant to sentence 1.

§ Section 475b
Material defect of a good with digital elements

(1) For the purchase of a good with digital elements (section 327a(3) sentence 1), where the trader undertakes that he himself or a third party will provide the digital elements, the rules of this provision apply complementarily. With regard to whether the trader's obligation includes the provision of the digital content or digital services, section 327a(3) sentence 2 applies.
(2) A good with digital elements is free from material defects if it complies with the subjective requirements, the objective requirements, the assembly requirements and the installation requirements at the time of the passing of risk and, with regard to an update obligation, also during the period under subsection (3)(2) and subsection (4)(2).
(3) A good with digital elements complies with the subjective requirements if.
1. it complies with the requirements of section 434(2), and
2. For the digital elements, the updates agreed in the contract of sale are provided during the relevant period under the contract.
(4) A good with digital elements complies with the objective requirements if
1. it complies with the requirements of section 434(3); and
2. the consumer is provided with updates necessary to maintain the conformity of the good with the contract during the period that the consumer can expect, taking into account the nature and purpose of the good and its digital elements and the circumstances and nature of the contract, and the consumer is informed of those updates.
(Where the consumer fails to install an update provided to him in accordance with paragraph 4 within a reasonable period of time, the trader shall not be liable for a material defect attributable solely to the absence of that update if.
1. The trader has informed the consumer of the availability of the update and the consequences of failure to install it; and
2. the fact that the consumer has not installed the update or has installed it improperly is not due to defective installation instructions provided to the consumer.
(6) To the extent that assembly or installation is to be carried out, goods with digital elements correspond to
1. The assembly requirements if it complies with the requirements of section 434(4); and
2. the installation requirements if the installation
a) of the digital elements has been carried out properly; or
b) has been carried out improperly, but this is neither due to improper installation by the Contractor nor to a defect in the instructions handed over by the Contractor or the person who provided the digital elements.

§ Section 475c

Defect of goods with digital elements in case of permanent provision of the digital elements

(1) If the parties have agreed to make the digital elements permanently available when purchasing goods with digital elements, the rules of this provision apply in addition. If the parties have not determined how long the provision of the digital elements is to last, section 475b(4)(2) shall apply accordingly.
(2) In addition to sections 434 and 475b, the trader shall also be liable for ensuring that the digital elements comply with the requirements of section 475b(2) during the provision period, but at least for a period of two years from the delivery of the goods.

§ 475d
Special provisions for revocation and damages

(1) For a revocation due to a defect of the good, the specification of a period of time in § 323 (1) shall not be required, in derogation of § 323 (2) and § 440, if

1. the trader has not carried out the cure despite the expiry of a reasonable period of time from the time the consumer informed him about the defect,
2. a defect appears in spite of the cure attempted by the trader,
3. the defect is so serious that immediate revocation is justified,
4. the trader has refused cure required by § 439 (1) or (2) or § 475 (5), or
5. it is obvious from the circumstances that the trader will not duly cure the defect in accordance with § 439 (1) or (2) or § 475 (5).

(2) [1]For a claim for damages based on a defect of the good, the specification of a period of time in § 281 (1) shall not be required in the cases specified in (1). [2]§ 281 (2) and § 440 shall not apply.

§ 475e
Special provisions for time-barring

(1) In the case of the permanent supply of digital elements pursuant to § 475c (1) sentence 1, claims based on a defect in the digital elements shall not become time-barred before the expiry of twelve months after the end of the period of provision.
(2) Claims based on a breach of the duty to update pursuant to § 475b (3) or (4) shall not become time-barred before the expiry of twelve months after the end of the period of the duty to update.
(3) If a defect has become apparent within the time-barring period, there shall be no time-barring before the expiry of four months after the time when the defect first became apparent.
(4) If the consumer has handed over the good to the trader or, at the trader's instigation to a third party for the purpose of cure or for the fulfillment of claims under a guarantee, the time-barring period for claims based on the asserted defect shall not commence before the expiry of two months after the time when the repaired or replaced good was handed over to the consumer.

§ 476
Deviating agreements

(1) [1]If an agreement is entered into before a defect is notified to the trader and deviates, to the disadvantage of the consumer, from §§ 433 to 435, 437, 439 to 441 and 443 and from the provisions of this subtitle, the trader may not invoke it. [2]The requirements under § 434 (3) or § 475b (4) may be deviated from by contract before notification of a defect to the trader, if

1. the consumer was specifically informed before submitting his contractual declaration that a certain characteristic of the good deviates from the objective requirements, and
2. the deviation within the meaning of no. 1 was expressly and separately agreed in the contract.

(2) [1]The time-barring of the claims cited in § 437 may not be alleviated by an agreement reached before a defect is notified to a trader if the agreement means that there is a time-barring period of less than two years from the statutory beginning of time-barring or, in the case of second-hand goods, of less than one year. [2]The agreement is only effective, if

1. the consumer was specifically informed of the reduction of the time-barring period before submitting his contractual declaration, and
2. the reduction of the time-barring period was expressly and separately agreed in the contract.

(3) Notwithstanding §§ 307 to 309, (1) and (2) above do not apply to the exclusion or restriction of the claim to damages.
(4) The provisions of (1) and (2) shall also apply, if they are circumvented by other arrangements.

§ 477
Shifting the burden of proof

(1) [1]If, within one year after the date of the passing of risk, the condition of the good deviates from the requirements of § 434 or § 475b, it is presumed that the good was already defective at the time of the passing of risk, unless this presumption is incompatible with the nature of the good or the defective condition. [2]In the case of the purchase of a live animal, this presumption shall apply for a period of six months from the passing of risk.
(2) If, in the case of goods with digital elements, the permanent supply of the digital elements has been agreed in the purchase contract and if a condition of the digital elements deviating from the contractual requirements under § 434 or § 475b becomes apparent during the period of provision or within a period of two years from the passing of risk, it shall be presumed that the digital elements were defective during the previous period of provision.

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§ 488
Typical contractual duties in a loan contract

(1) [1]The loan contract obliges the lender to make available to the borrower a sum of money in the agreed amount. [2]The borrower is obliged to pay interest owed and, at the due date, to repay the loan made available.
(2) The agreed interest, unless otherwise provided, is to be paid at the end of each year and, if the loan is to be repaid before the end of one year, upon repayment.
(3) [1]If a time is not specified for repayment of the loan, its due date is subject to the lender or the borrower giving notice of termination. [2]The notice period is three months. [3]If interest is not owed, the borrower is also entitled to repay without giving notice of termination.

§ 490
Right to terminate for cause

(1) If there is or threatens to be a substantial deterioration in the financial circumstances of the borrower or in the value of a security given for the loan as a result of which the repayment of the loan is jeopardised even if the security is realised, the lender may give notice of termination of the credit agreement with immediate effect; in case of doubt, the notice of termination with immediate effect is an available option under all circumstances before the loan is paid out, while after the loan has been paid out, it is an available option only as a general rule.
(2) The borrower may give early notice of termination of a credit agreement where the borrowing rate is pegged and the loan is secured by a security right in land or a maritime lien, observing the notice periods defined in section 488 (3) sentence 2 if the borrower's legitimate

interests require this and six months have expired since the complete receipt of the loan. Such an interest is given in particular if the borrower has the need to otherwise realise the thing pledged to secure the loan. The borrower is to compensate the lender for the damage incurred by the lender as a result of this early termination (compensation for early repayment of the loan).
(3) The provisions of sections 313 and 314 remain unaffected.

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§ 535
Contents and primary duties of the lease agreement

(1) [1]A lease agreement imposes on the lessor a duty to grant the lessee use of the leased property for the lease period. [2]The lessor must surrender the leased property to the lessee in a condition suitable for use in conformity with the contract and maintain it in this condition for the lease period. [3]He must bear all costs to which the leased property is subject.
(2) The lessee is obliged to pay the lessor the agreed rent.

§ 543
Termination for cause without notice for a compelling reason

(1) [1]Each party to the contract may terminate the lease for cause without notice for a compelling reason. [2]A compelling reason is deemed to obtain if the party giving notice, with all circumstances of the individual case taken into account, including without limitation fault of the parties to the contract, and after weighing the interests of the parties, cannot be reasonably expected to continue the lease until the end of the notice period or until the lease ends in another way.
(2) [1]A compelling reason is deemed to obtain in cases including without limitation where

1. the lessee is not permitted the use of the leased property in conformity with contract, in whole or in part, in good time, or is deprived of this use,
2. the lessee violates the rights of the lessor to a substantial degree by substantially endangering the leased property by neglecting to exercise the care incumbent upon him or by allowing a third party to use it without authorisation, or
3. the lessee
    a) is in default, on two successive dates, of payment of the rent or of a portion of the rent that is not insignificant, or
    b) in a period of time spanning more than two dates is in default of payment of the rent in an amount that is as much as the amount of rent for two months.

[2]In the case of sentence 1 no. 3, termination is excluded if the lessor has by then obtained satisfaction. [3]It becomes ineffective if the lessee has succeeded in discharging his debt by set-off and declares set-off without undue delay after notice of termination is given.
(3) [1]If the compelling reason consists in the violation of an obligation under the lease, then the notice of termination is only permitted after the expiry without result of a reasonable period specified for the purpose of obtaining relief or after an unheeded warning notice. [2]This does not apply if

1. a notice period or a warning notice obviously shows no chance of succeeding,
2. immediate termination for special reasons is justified, weighing the interests of both parties, or
3. the lessee is in default of payment of rent within the meaning of (2) no.3.

(4) [1]§§ 536b and 536d are to be applied with the necessary modifications to the right to notice of termination to which the lessee is entitled under (2) no. 1. [2]If it is in dispute whether the lessor granted use of the leased property in good time or provided relief prior to expiry of the period specified for this purpose, then he bears the burden of proof.

§ 546
Duty of lessee to return

(1) The lessee is obliged to return the leased property after termination of the lease.
(2) If the lessee has permitted a third party to use the leased property, the lessor may also demand return of the leased property from the third party after termination of the lease.

§ 555e Special right of termination of the lessee in case of modernisation measures

(1) On receipt of the modernisation notice, the lessee may give extraordinary notice with regard to the tenancy with effect for the end of the month after next. Notice of termination must be given by the end of the month following receipt of the modernisation notice.
(2) Section 555c (4) applies accordingly.
(3) A deviating agreement to the disadvantage of the lessee is ineffective.

§ 561 Special right of termination of the lessee following a rent increase

(1) If the lessor asserts a right to a rent increase under sections 558 or 559, then, until the end of the second month following receipt of the declaration of the lessor, the lessee may terminate the lease for cause with effect for the end of the second month thereafter. If the lessee gives notice of termination, then the rent increase does not take effect.
(2) A deviating agreement to the disadvantage of the lessee is ineffective

§ 568
Form and contents of the notice of termination

(1) The notice of termination of the lease requires the written form.
(2) As a rule, the lesser is to draw the attention of the lessee, in good time, to the possibility of an objection and the requirements as to form and the period of time governing the objection stipulated in sections 574 to 574b.

§ 569
Termination for cause without notice for a compelling reason

(1) A compelling reason within the meaning of section 543 (1) exists for the lessee also if the leased residential space is in such a condition that its use constitutes a significant health hazard. This also applies if the lessee knew of the hazardous nature at conclusion of the contract or waived their rights arising from this nature.
(2) A compelling reason within the meaning of section 543 (1) furthermore exists if one contractual party permanently disturbs the domestic peace in such a way that the party giving notice, having taken all circumstances of the specific case into account, in particular a fault of the contractual parties, and having weighed the interests of both parties against each other, cannot reasonably be required to continue the lease until the end of the notice period or until the lease is terminated in some other way.
(2a) A compelling reason within the meaning of section 543 (1) furthermore is deemed to exist if the lessee is in arrears in providing security under section 551 in the amount of a sum corresponding to twice the monthly rent. Operating costs to be shown as a flat-rate or advance payment are not to be taken into account in the calculation of the monthly rent in accordance with sentence 1. A grace period or a warning notice in accordance with section 543 (3) sentence 1 is not required. Subsection (3) no. 2 sentence 1 as well as section 543 (2) sentence 2 are to be applied accordingly.

(3) By way of supplementing section 543 (2) sentence 1 no. 3, the following applies:

1. In the case governed by section 543 (2) sentence 1 no. 3 (a), the part of the rent in arrears may be considered as not insignificant only if it exceeds the rent for one month. This does not apply if the residential space is leased only for temporary use.

2. The notice of termination also becomes ineffective if, at the latest by the end of two months after the eviction claim has become pending, the lessor is satisfied or a public authority agrees to satisfy the lessor with regard to the rent due and the compensation due under section 546a (1). This does not apply if, at a time no longer than two years earlier, the notice of termination was preceded by a notice of termination that became ineffective under sentence 1.

3. If the lessee has been finally and bindingly sentenced to pay an increased rent under sections 558 to 560, then the lessor may not terminate the lease due to the lessee's default in payment before the end of two months after the final and binding conviction unless the prerequisites for termination for cause without notice already have been met for the rent owed previously.

(4) The compelling reason leading to termination is to be stated in the notice of termination.

(5) An agreement deviating from subsections (1) to (3) of this provision or from section 543 to the disadvantage of the lessee is ineffective. In addition, an agreement is also ineffective under which the lessor is to be entitled to terminate the lease for cause without notice for other reasons than those permitted by law.

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§ 570
Exclusion of the right of retention

The lessee is not entitled to any right of retention against the claim to return of the lessor.

§ 573 Notice of termination by the lessor

(1) [1]The lessor may only give notice if he has a justified interest in the termination of the lease. [2]Notice of termination for the purpose of increasing the rent is excluded.

(2) A justified interest of the lessor in the termination of the lease exists, without limitation, in cases where

1. the lessee has culpably and non-trivially violated his contractual duties,
2. the lessor needs the premises as a dwelling for himself, members of his family or members of his household, or
3. the lessor, by continuing the lease, would be prevented from making appropriate commercial use of the plot of land and would as a result suffer substantial disadvantages; the possibility of attaining a higher rent by leasing the residential space to others is disregarded; the lessor may likewise not invoke the fact that he wishes to dispose of the residential premises in connection with an intention to create apartment ownership, or in connection with a creation of apartment ownership that took place after use of the residential space was granted to the lessee.

(3) [1]The reasons for a justified interest of the lessor must be indicated in the notice of termination. [2]Other reasons are taken into account only to the extent that they arose subsequently.

(4) A deviating agreement to the disadvantage of the lessee is ineffective.

§ 573c
Termination notice periods

(1) [1]Notice of termination is allowed at the latest on the third working day of a calendar month to the end of the second month thereafter. [2]The notice period for the lessor is extended, by three months in each case, five and eight years after the lessee is permitted to use the residential space.
(2) For residential space that is only leased for temporary use, a shorter notice period may be agreed.
(3) […]
(4) An agreement deviating from (1) or (3) to the disadvantage of the lessee is ineffective.

§ 575a Termination for cause observing the statutory notice period

(1) If a lease entered into for a fixed term may be terminated for cause observing the statutory notice period, then sections 573 and 573a apply accordingly, to the exception of notice of termination to the heirs of the lessee under section 564.
(2) Sections 574 to 574c apply accordingly subject to the proviso that the continuation of the lease may be demanded at most until the contractually specified date of termination.
(3) Notice of termination is permissible at the latest on the third working day of a calendar month with effect for the end of the second month thereafter, and in the case of residential space under section 549 (2) no. 2, at the latest on the fifteenth day of the month with effect for the end of the month (statutory period). Section 573a (1) sentence 2 does not apply.
(4) A deviating agreement to the disadvantage of the lessee is ineffective.

§ 576 Periods of time to be observed in giving notice of termination in accordance with usual procedure in the case of tied leased dwellings

(1) If residential space is let on a lease in view of the existence of a service relationship, then the lessor may upon termination of the employment and in derogation from section 573c (1) sentence 2 terminate the lease observing the following notice periods:

1. for residential space that has been made available to the lessee for the latter's use for less than 10 years, at the latest on the third working day of a calendar month with effect for the end of the second month thereafter if the residential space is needed for another person obliged to perform services;

2. at the latest on the third working day of a calendar month with effect for the end of that month if the service relationship by its nature required residential space to be made available for use that is directly related to the place of work or is located in its immediate vicinity and the residential space is needed for the same reason for another person obliged to perform services.

(2) A deviating agreement to the disadvantage of the lessee is ineffective

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§ 598
Typical contractual duties in the case of a gratuitous loan

By a gratuitous loan agreement, the lender of a thing is obliged to permit the borrower to use the item at no charge.

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§ 611
Typical contractual duties in a service contract

(1) By means of a service contract, a person who promises service is obliged to perform the services promised, and the other party is obliged to grant the agreed remuneration.
(2) Services of any type may be the subject matter of service contracts.

§ 611a
Employment contract

(1) [1]The employment contract obliges the employee to perform work in the service of another in personal dependence and subject to instructions from a third party. [2]The right to issue instructions may relate to the content, performance, time and place of the work. [3]An employee is bound by instructions if he or she is not essentially free to organize his or her work and determine his or her working hours. [4]The degree of personal dependence shall also depend on the nature of the activity in question. [5]In order to determine whether an employment contract exists, an overall consideration of all circumstances must be made. [6]If the actual performance of the contractual relationship shows that it is an employment relationship, the designation in the contract shall not be relevant.
(2) The employer shall be obliged to pay the agreed remuneration.

§ 612
Remuneration

(1) Remuneration is deemed to have been tacitly agreed if in the circumstances it is to be expected that the services are rendered only for remuneration.
(2) If the amount of remuneration is not specified, then if a tariff exists, the tariff remuneration is deemed to be agreed; if no tariff exists, the usual remuneration is deemed to be agreed.

§ 622
Notice periods in the case of employment relationships

(1) The employment relationship of a wage-earner or a salary-earner (employee) may be terminated with a notice period of four weeks to the fifteenth or to the end of a calendar month.
(2) For notice of termination by the employer, the notice period is as follows if the employment relationship in the business or the enterprise

1. has lasted for two years, one month to the end of a calendar month,
2. has lasted for five years, two months to the end of a calendar month,
3. has lasted for eight years, three months to the end of a calendar month,
4. has lasted for ten years, four months to the end of a calendar month,
5. has lasted for twelve years, five months to the end of a calendar month,
6. has lasted for fifteen years, six months to the end of a calendar month,
7. has lasted for twenty years, seven months to the end of a calendar month.

[…]

§ 623
Written form of termination

Termination of employment by notice of termination or separation agreement requires written form to be effective; electronic form is excluded.

§ 626
Termination without notice for a compelling reason

(1) The service relationship may be terminated by either party to the contract for a compelling reason without complying with a notice period if facts are present on the basis of which the

party giving notice cannot reasonably be expected to continue the service relationship to the end of the notice period or to the agreed end of the service relationship, taking all circumstances of the individual case into account and weighing the interests of both parties to the contract.
(2) [1]Notice of termination may only be given within two weeks. [2]The notice period commences with the date on which the person entitled to give notice obtains knowledge of facts conclusive for the notice of termination. [3]The party giving notice must notify the other party, on demand, of the reason for notice of termination without undue delay in writing.

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§ 631
Typical contractual duties in a contract to produce a work

(1) By a contract to produce a work, a contractor is obliged to produce the promised work and the customer is obliged to pay the agreed remuneration.
(2) The subject matter of a contract to produce a work may be either the production or alteration of a thing or another result to be achieved by work or by a service.

§ 632
Remuneration

(1) Remuneration for work is deemed to be tacitly agreed if the production of the work, in the circumstances, is to be expected only in return for remuneration.
(2) If the amount of remuneration is not specified, then if a tariff exists, the tariff remuneration is deemed to be agreed; if no tariff exists, the usual remuneration is deemed to be agreed.
(3) In case of doubt, remuneration is not to be paid for a cost estimate.

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§ 650
Contract for work and materials; consumer contract on the production of digital products

(1) The provisions governing purchase are applicable to a contract dealing with the supply of movable things to be produced or manufactured. Section 442 (1) sentence 1 also applies to these contracts if the defect is caused by the material supplied by the customer. To the extent that the movable things to be produced or manufactured are not fungible things, sections 642, 643, 645, 648 and 649 apply, subject to the proviso that the relevant point in time under sections 446 and 447 takes the place of acceptance.
(2) Sections 633 to 639 on the rights in the case of defects as well as section 640 on acceptance are not to be applied to a consumer contract under which the trader enters into obligation
1. to produce digital content,
2. to procure a result by a digital service, or
3. to produce a tangible medium serving exclusively as a carrier of digital content,
The provisions of Division 3 Title 2a Title 2a take the place of the provisions not to be applied in accordance with sentence 1. Sections 641, 644 and 645 are to be applied subject to the proviso that the supply of the digital product (section 327b (3) to (5)) takes the place of acceptance.
(3) In derogation from subsection (1) sentences 1 and 2, section 433 (1) sentence 2, sections 434 to 442, section 475 subsection (3) sentence 1, subsections (4) to (6) and sections 476 and 477 on the rights in the case of defects are not to be applied to a consumer contract under which the trader enters into obligation to deliver a tangible medium, which is to be produced, serving exclusively as a carrier of digital content. The provisions of Division 3 Title 2a take the place of the provisions not to be applied in accordance with sentence 1.
(4) The exclusion of application under subsection (2) applies accordingly, in the case of a consumer contract under which the trader enters into obligation to produce a thing that

incorporates a digital product or is inter-connected with digital products, to those elements of the contract relating to the digital products. The exclusion of application under subsection (3) applies accordingly, in the case of a consumer contract under which the trader enters into obligation to deliver a thing, which is to be produced, that incorporates a digital product or is inter-connected with digital products, to those elements of the contract relating to the digital products.

§ 650a Construction contract

(1) A construction contract is a contract on the construction, reconstruction, removal or conversion of a building, an outdoor facility or a part thereof. The following provisions of this Chapter apply supplementally to the construction contract.

(2) A contract on the structural maintenance of a building is a construction contract if the work is of essential significance for the structure, the continued existence, or the use in accordance with the intended purpose.

§ 705
Legal nature of the company

(1) The company is established by the conclusion of a partnership agreement in which the partners undertake to promote the achievement of a common purpose in the manner determined by the agreement.

(2) The company may either itself acquire rights and incur liabilities if, according to the common will of the partners, it is to participate in legal transactions (company with legal capacity), or it may serve the partners to organize their legal relationship with each other (company without legal capacity).

(3) If the object of the company is the operation of an enterprise under a joint name, it is presumed that the company participates in legal transactions in accordance with the common will of the partners.

§ 765
Typical contractual duties in suretyship

(1) By a contract of suretyship the surety puts himself under a duty to the creditor of a third party to be responsible for discharging that third party's obligation.
(2) Suretyship may also be assumed for a future or contingent obligation.

§ 766
Written form of the declaration of suretyship

[1]For the contract of suretyship to be valid, the declaration of suretyship must be issued in writing. [2]The declaration of suretyship may not be made in electronic form. [3]If the surety discharges the main obligation, the defect of form is remedied.

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§ 812
Claim for restitution

(1) [1]A person who obtains something as a result of the performance of another person or otherwise at his expense without legal grounds for doing so is under a duty to make restitution

to him. [2]This duty also exists if the legal grounds later lapse or if the result intended to be achieved by those efforts in accordance with the contents of the legal transaction does not occur.
(2) Performance also includes the acknowledgement of the existence or non-existence of an obligation.

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§ 823
Liability in damages

(1) A person who, intentionally or negligently, unlawfully injures the life, body, health, freedom, property or another right of another person is liable to make compensation to the other party for the damage arising from this.
(2) [1]The same duty is held by a person who commits a breach of a statute that is intended to protect another person. [2]If, according to the contents of the statute, it may also be breached without fault, then liability to compensation only exists in the case of fault.

§ 826
Intentional damage contrary to public policy

A person who, in a manner contrary to public policy, intentionally inflicts damage on another person is liable to the other person to make compensation for the damage.

<u>Book 3</u>

§ 854
Acquisition of possession

(1) Possession of a thing is acquired by obtaining actual control of the thing.
(2) Agreement between the previous possessor and the acquirer is sufficient for acquisition if the acquirer is in a position to exercise control over the thing.

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§ 873
Acquisition by agreement and registration

(1) The transfer of the ownership of a plot of land, the encumbrance of a plot of land with a right and the transfer or encumbrance of such a right require agreement between the person entitled and the other person on the occurrence of the change of rights and the registration of the change of rights in the Land Register, except insofar as otherwise provided by law.
(2) Before the registration, the parties are bound by the agreement only if the declarations are notarially recorded, or made before the Land Registry, or submitted to the Land Registry, or if the person entitled has delivered to the other person an approval of registration that satisfies the provisions of the Land Register Code [Grundbuchordnung].

§ 892
Presumption of the accuracy of the contents of the Land Register

(1) [1]In favour of the person who acquires a right in a plot of land or a right in such a right by legal transaction, the contents of the Land Register are presumed to be correct, unless an objection to the accuracy is registered or the inaccuracy is known to the acquirer. [2]Where the person entitled is restricted in favour of a particular person in his disposition of a right entered in the Land Register, the restriction is effective in relation to the acquirer only if it is apparent from the Land Register or known to the acquirer.

(2) Where registration is necessary for the acquisition of the right, the knowledge of the acquirer at the date when the application for registration is made or, if the agreement required under § 873 is reached only later, the date of agreement is conclusive.

§ 903
Powers of the owner

[1]The owner of a thing may, to the extent that a statute or third-party rights do not conflict with this, deal with the thing at his discretion and exclude others from every influence. [2]The owner of an animal must, when exercising his powers, take into account the special provisions for the protection of animals.

§ 925
Declaration of conveyance

(1) [1]The agreement between the alienor and the acquirer (declaration of conveyance) necessary for the transfer of ownership of a plot of land under § 873 must be declared in the presence of both parties before a competent agency. [2]Any notary is competent to receive the declaration of conveyance, notwithstanding the competence of other agencies. [3]A declaration of conveyance may also be made in an in-court settlement or in an insolvency plan or restructuring plan that has been finally and non-appealably confirmed.
(2) A declaration of conveyance that is made subject to a condition or a stipulation as to time is ineffective.

§ 929
Agreement and delivery

[1]For the transfer of the ownership of a movable thing, it is necessary that the owner delivers the thing to the acquirer and both agree that ownership is to pass. [2]If the acquirer is in possession of the thing, agreement on the transfer of the ownership suffices.

§ 930
Constructive delivery

If the owner is in possession of the thing, the delivery may be replaced by a legal relationship being agreed between the owner and the acquirer by which the acquirer obtains indirect possession.

§ 931
Assignment of claim for possession

If a third party is in possession of the thing, delivery may be replaced by the owner assigning to the acquirer the claim to delivery of the thing.

§ 932
Good faith acquisition from a person not entitled

(1) [1]As a result of a disposal carried out under § 929, the acquirer becomes the owner even if the thing does not belong to the alienor, unless the acquirer is not in good faith at the time when under these provisions he would acquire ownership. [2]In the case of § 929 sentence 2, however, this applies only if the acquirer had obtained possession from the alienor.
(2) The acquirer is not in good faith if he is aware, or as a result of gross negligence he is not aware, that the thing does not belong to the alienor.

§ 933
Good faith acquisition on constructive delivery
Where a thing alienated under § 930 does not belong to the alienor, the acquirer becomes the owner if the thing is delivered to him by the alienor, unless he is not in good faith at this time.

§ 934
Good faith acquisition on assignment of claim for possession
Where a thing alienated under § 931 does not belong to the alienor, the acquirer becomes owner, if the alienor is the indirect possessor of the thing, on the assignment of the claim, or otherwise when the acquirer obtains the possession of the thing from the third party, unless at the time of the assignment or the acquisition of possession he is not in good faith.

§ 935
No good faith acquisition of lost property
(1) [1]The acquisition of ownership under §§ 932 to 934 does not occur if the thing was stolen from the owner, is missing or has been lost in any other way. [2]The same applies, where the owner was only the indirect possessor, if the possessor had lost the thing.
(2) These provisions do not apply to money or bearer instruments or to things that are alienated by way of public auction or in an auction pursuant to § 979 (1a).

§ 937
Requirements, exclusion in the case of knowledge
(1) A person who has a movable thing in his proprietary possession for ten years acquires the ownership (acquisition by prescription).
(2) Acquisition by prescription is excluded if the acquirer on acquiring the proprietary possession is not in good faith or if he later discovers that he is not entitled to the ownership.

§ 946
Combination with a plot of land
If a movable thing is combined with a plot of land in such a way that it becomes an essential part of the plot of land, the ownership of the plot of land extends to this movable thing.

§ 947
Combination with movable things
(1) If movable things are combined with each other in such a way that they become essential parts of a uniform thing, the previous owners become co-owners of this thing; the shares are determined by the relationship of the value that the things have at the time of combination.
(2) If one of the things is to be seen as the main thing, its owner acquires sole ownership.

§ 948
Intermixture
(1) If movable things are inseparably intermixed or mingled with each other, the provisions of § 947 apply with the necessary modifications.
(2) The situation is equivalent to inseparability if the separation of the intermixed or mingled things would entail disproportionately high costs.

§ 950
Processing
(1) [1]A person who, by processing or transformation of one or more substances, creates a new movable thing acquires the ownership of the new thing, except where the value of the

processing or the transformation is substantially less than the value of the substance. [2]Processing also includes writing, drawing, painting, printing, engraving or a similar processing of the surface.
(2) On the acquisition of ownership of the new thing, the existing rights in the substance are extinguished.

§ 953 Ownership of separated products and components

Products and other components of a thing, even after separation, belong to the owner of the thing, unless sections 954 to 957 lead to a different conclusion.

§ 958
Acquisition of ownership of ownerless movable things

(1) A person who takes proprietary possession of an ownerless movable thing acquires ownership of the thing.
(2) The ownership is not acquired if the appropriation is prohibited by law or if the taking possession injures the right of appropriation of another.

§ 985
Claim for restitution

The owner may require the possessor to return the thing.

§ 986
Objections of the possessor

(1) [1]The possessor may refuse to return the thing if he or the indirect possessor from whom he derives his right of possession is entitled to possession as against the owner. [2]If the indirect possessor is not authorised in relation to the owner to permit the possessor to have possession, the owner may require the possessor to deliver the thing to the indirect possessor or, if the indirect possessor cannot or does not wish to take possession again, to the owner himself.
(2) The possessor of a thing that has been alienated under § 931 by assignment of the claim for return may raise against the new owner the objections that he is entitled to use against the claim assigned.

§ 1006
Presumption of ownership for possessor

(1) [1]It is presumed in favour of the possessor of a movable thing that he is the owner of the thing. [2]However, this does not apply in relation to a former possessor from whom the thing was stolen or who lost it or whose possession of it ended in another way, unless the thing is money or bearer instruments.
(2) It is presumed in favour of a former possessor that during the period of his possession he was the owner.
(3) In the case of indirect possession, the presumption is in favour of the indirect possessor.

IV. General Act on Equal Treatment (AGG)

Part 1

§ 1
Purpose

The purpose of this Act is to prevent or to stop discrimination on the grounds of race or ethnic origin, gender, religion or belief, disability, age or sexual orientation.

§ 2
Scope

(1) For the purposes of this Act, any discrimination within the meaning of § 1 shall be inadmissible in relation to:

1. conditions for access to dependent employment and self-employment, including selection criteria and recruitment conditions, whatever the branch of activity and at all levels of professional hierarchy, including promotion;
2. employment conditions and working conditions, including pay and reasons for dismissal, in particular in contracts between individuals, collective bargaining agreements and measures to implement and terminate an employment relationship, as well as for promotion;
3. access to all types and to all levels of vocational guidance, vocational training, advanced vocational training and retraining, including practical work experience;
4. membership of and involvement in an organisation of workers or employers or any organisation whose members carry on a particular profession, including all benefits provided for by such organisations;
5. social protection, including social security and health care;
6. social advantages;
7. education;
8. access to and supply of goods and services which are available to the public, including housing.

(2) [1]§ 33c Social Code, Book I and § 19a Social Code, Book IV shall apply to social benefits. [2]The Company Pensions Act (Betriebsrentengesetz) shall apply to company pension schemes.
(3) [1]The application of other prohibitions of discrimination or laws on equal treatment shall remain unaffected by this Act. [2]The same shall apply, with the necessary modifications, to provisions under public law which serve the protection of specific groups of persons.
(4) Only the provisions governing the protection against unlawful dismissal in general and specific cases shall apply to dismissals.

§ 3
Definitions

(1)[1]Direct discrimination shall be taken to occur where one person is treated less favourably than another is, has been or would be treated in a comparable situation on any of the grounds referred to under § 1. [2]Direct discrimination on grounds of sex shall also be taken to occur in relation to § 2(1) Nos 1 to 4 in the event of the less favourable treatment of a woman on account of pregnancy or maternity.
(2) Indirect discrimination shall be taken to occur where an apparently neutral provision, criterion or practice would put persons at a particular disadvantage compared with other persons on any of the grounds referred to under § 1, unless that provision, criterion or practice is objectively justified by a legitimate aim and the means of achieving that aim are appropriate and necessary.

(3) Harassment shall be deemed to be discrimination when an unwanted conduct in connection with any of the grounds referred to under § 1 takes place with the purpose or effect of violating the dignity of the person concerned and of creating an intimidating, hostile, degrading, humiliating or offensive environment.
(4) Sexual harassment shall be deemed to be discrimination in relation to § 2(1) Nos 1 to 4, when an unwanted conduct of a sexual nature, including unwanted sexual acts and requests to carry out sexual acts, physical contact of a sexual nature, comments of a sexual nature, as well as the unwanted showing or public exhibition of pornographic images, takes place with the purpose or effect of violating the dignity of the person concerned, in particular where it creates an intimidating, hostile, degrading, humiliating or offensive environment.
(5) [1]An instruction to discriminate against a person on any of the grounds referred to under § 1 shall be deemed as discrimination. [2]Such an instruction shall in particular be taken to occur in relation to § 2(1) Nos 1 to 4 where a person instructs an employee to conduct which discriminates or can discriminate against another employee on one of the grounds referred to under § 1.

Part 3

§ 19
Prohibition of Discrimination Under Civil Law

(1) Any discrimination on the grounds of race or ethnic origin, sex, religion, disability, age or sexual orientation shall be illegal when founding, executing or terminating civil-law obligations which

1. typically arise without regard of person in a large number of cases under comparable conditions (bulk business) or where the regard of person is of subordinate significance on account of the obligation and the comparable conditions arise in a large number of cases; or which
2. have as their object a private-law insurance.

(2) Any discrimination on the grounds of race or ethnic origin shall furthermore be illegal within the meaning of § 2(1) Nos 5 to 8 when founding, executing or terminating other civil-law obligations.
(3) In the case of rental of housing, a difference of treatment shall not be deemed to be discrimination where they serve to create and maintain stable social structures regarding inhabitants and balanced settlement structures, as well as balanced economic, social and cultural conditions.
(4) The provisions set out in Part 3 shall not apply to obligations resulting from family law and the law of succession.
(5) [1]The provisions set out in Part 3 shall not apply to civil-law obligations where the parties or their relatives are closely related or a relationship of trust exists. [2]As regards tenancy, this may in particular be the case where the parties or their relatives use housing situated on the same plot of land. [3]The rental of housing for not only temporary use shall generally not constitute business within the meaning of (1) no. 1 where the lessor does not let out more than 40 apartments in total.

§ 20
Permissible Differences of Treatment

(1) [1]Differences of treatment on grounds of religion, disability, age, sexual orientation or sex shall not be deemed to be a violation of the prohibition of discrimination if they are based on objective grounds. [2]Such differences of treatment may include, among others, where the difference of treatment

1. serves the avoidance of threats, the prevention of damage or another purpose of a comparable nature;
2. satisfies the requirement of protection of privacy or personal safety;
3. grants special advantages and there is no interest in enforcing equal treatment;
4. is based on the concerned person's religion and is justified with regard to the exercise of the right to freedom of religion or the right to self-determination of religious communities, facilities affiliated to them (regardless of their legal form) and organisations which have undertaken conjointly to practice a religion or belief, given their respective ethos.

(2) [1]Costs arising from pregnancy and maternity may on no account lead to the payment of different premiums and benefits. [2]Differences of treatment on the ground of religion, disability, age or sexual orientation in the case of application of § 19 (1) No 2 shall be permissible only where these are based on recognised principles of risk-adequate calculations, in particular on an assessment of risk based on actuarial calculations which are in turn based on statistical surveys.

§ 21
Enforcement

(1) [1]Where a breach of the prohibition of discrimination occurs, the disadvantaged person may, regardless of further claims being asserted, demand that the discriminatory conduct be stopped. [2]Where other discrimination is to be feared, he or she may sue for an injunction.
(2) [1]Where a violation of the prohibition of discrimination occurs, the person responsible for committing the discrimination shall be obligated to compensate for any damage arising therefrom. [2]This shall not apply where the person committing the discrimination is not responsible for the breach of duty. [3]The person suffering discrimination may demand appropriate compensation in money for the damage, however not for economic loss.
(3) Claims in tort shall remain unaffected.
(4) The person responsible for committing the discrimination shall not be permitted to refer to an agreement which derogates from the prohibition of discrimination.
(5) [1]Any claims arising from (1) and (2) must be asserted within a period of two months. [2]After the expiry of the time limit the claim may only be asserted when the disadvantaged person was prevented from meeting the deadline through no fault of their own.

V. PROTECTION AGAINST DISMISSAL ACT (KSCHG)

Chapter 1

§ 1
Socially Unjustified Dismissals

(1) The termination of the employment relationship of an employee who has been employed in the same establishment or the same Company without interruption for more than six months is legally invalid if it is socially unjustified.
(2) [1]A dismissal is socially unjustified if it is not due to reasons related to the person, the conduct of the employee, or to compelling operational requirements which preclude the continued employment of the employee in the establishment. [2]The termination is also socially unjustified if:

1. in private law establishments
   a) the termination violates a guide- line pursuant to § 95 of the Works Constitution Act Betriebsverfassungsgesetz; BetrVG),
   b) the employee can continue to be employed in another position in the same establishment or in another establishment of the Company and the works council or another competent representative body of the employees, pursuant to the Works Constitution Act, has objected to the dismissal in writing for one of these reasons within the period set forth in § 102 (2) sentence 1 of the Works Constitution Act,
2. in public sector establishments and public administrations
   a) the termination violates a guideline regarding the selection of personnel for dismissal,
   b) the employee can continue to be employed in another position in the same office or in another office of the same administrative branch in the same locality or its commuting area,

and the competent employee representative body has raised objections to the dismissal in a timely manner for one of these reasons, unless a superior representative body in negotiations with a superior office has not upheld these objections. [3]Sentence 2 applies accordingly if the continued employment of the employee is possible after a reasonable amount of retraining or additional training or under modified working conditions and the employee has given his consent. [4]The employer has the burden of proving the facts which caused the dismissal.
(3) [1]Where an employee is dismissed due to compelling operational requirements within the meaning of (2), the dismissal is nevertheless held to be socially unjustified if, in selecting the employee, the employer has not, or has not sufficiently, considered the employee's seniority, age, duties to Support dependents and severe disability; at the employee's request, the employer must state to the employee the reasons on which the selection in question was made. [2]Employees shall not be included in the social selection pursuant to sentence 1 if their continued employment is in the justified operational interest of the employer, in particular due to their knowledge, skills and performance or in order to ensure a balanced personnel structure in the establishment. [3]The employee has the burden of proving the facts which make the dismissal appear to be socially unjustified within the meaning of sentence 1.
[…]

Chapter 4

§ 23
Scope of Application

(1) [1]The provisions of the Chapters 1 and 2 apply to establishments and administrations constructed under private and public law, subject to the provisions of § 24 with regard to establishments involved in shipping on the high seas or on inland waterways and in air transport. [2]With the exception of §§ 4 to 7 and § 13 (1) sentence 1 and 2, the provisions of Chapter 1 do not apply to establishments and administrations regularly employing five or fewer employees, excluding persons employed for vocational training. [3]In establishments and administrations regularly employing ten or fewer employees, excluding persons employed for vocational training, the provisions of Chapter 1 with the exception of §§ 4 to 7 and § 13 (1) sentence 1 and 2 shall not apply for employees whose employment relationship commenced after 31 December 2003; in determining the number of employees pursuant to sentence 2, these employees shall not be taken into account until ten employees are regularly employed. [4]In determining the number of employees pursuant to sentence 2 and 3, those part-time employees whose regular working time does not exceed 20 hours weekly shall be counted as 0.5 of an employee and those whose working time does not exceed 30 hours weekly shall be counted as 0.75 of an employee.
(2) [1]The provisions of the Chapter 3 apply to establishments and administrations constituted under private law and to establishments operated by a public administration insofar as they pursue commercial objectives.

VI. German Commercial Code (HGB)

§ 1

(1) A merchant within the meaning of this Code is a person who carries on a commercial business.
(2) A commercial business is any commercial enterprise unless, by reason of its nature or size, the enterprise does not require a commercially organised business operation.

§ 2

[1]A commercial entity whose commercial enterprise is not deemed to be a commercial business pursuant to § 1 (2) shall be deemed to be a commercial business within the meaning of this Code if the business name of the enterprise is registered in the Commercial Register. [2]The trader is entitled, but not obliged, to effect registration pursuant to the provisions in force for the registration of commercial business names. [3]If such registration has been effected, the business name can also be deleted upon application of the trader, unless the requirement laid down in § 1 (2) has been fulfilled in the meantime.

§ 3

(1) The provisions of Section 1 shall not apply to agricultural or forestry operations.
(2) Section 2 shall apply to agricultural or forestry enterprises which require a commercially organised business operation on account of their nature and size, subject to the proviso that, after registration in the Commercial Register, deletion of the business name shall be effected only pursuant to the general provisions which apply to the deletion of commercial business names.
(3) If an agricultural or forestry operation has a cognate enterprise constituting only a business ancillary to the agricultural or forestry enterprise, the provisions of subsections (1) and (2) shall apply *mutatis mutandis* to the enterprise operated as an ancillary business.

§ 5

If a business name is registered in the Commercial Register, it cannot be asserted against a person invoking such registration that the business conducted under the business name concerned is not a commercial business.

§ 6

(1) The provisions applicable to merchants shall also apply to commercial companies and partnerships.
(2) The rights and duties of an association on which the law confers merchant status irrespective of the purpose of the enterprise shall remain unaffected, even if the requirements of § 1 (2) are not fulfilled.

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§ 9

Access to the Commercial Register and the Business Register

(1) [1]Everyone shall be entitled to inspect the Commercial Register by single call-offs for information purposes, as well as the documents submitted thereto. [2]The Land departments of justice shall designate the electronic information and communication system via which the data from the Commercial Register are retrievable, and shall be responsible for operating the electronic retrieval procedure. [3]The Land government can, by statutory instrument, redistribute

these responsibilities; it can, by statutory instrument, transfer such authority to the Land department of justice. [4]The Länder can designate a nationwide, centralised electronic information and communication system. [5]They can also agree to have the operational tasks transferred to the competent body of another Land, as well as agree with the operator of the Business Register to have the operational tasks transferred to the Business Register.

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§ 12

Applications for Registration, and Submissions

(1) [1]Applications for registration in the Commercial Register shall be submitted electronically in officially certified form. [2]Official certification by means of video communication pursuant to § 40a of the Notarization Act is permissible. [3]The same form shall be required for a power of attorney for purposes of making an application. [4]A certification of a notary pursuant to § 21 (3) of the Federal Regulations for Notaries may be submitted instead of a power of attorney. [5]Legal successors of a party shall, to the extent feasible, prove the succession by means of public records and documents.
(2) [1]Documents shall be submitted electronically in a machine-readable and searchable data format. [2]If an original document or a plain copy is to be submitted, or if the written form is prescribed for the document, transmission of an electronic record shall suffice; if a notarially recorded document or an officially certified copy is to be submitted, a document with a simple electronic certification (§ 39a of the Notarial Recording Act) shall be transmitted.

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§ 15

(1) As long as a fact required to be entered in the Commercial Register has not been entered and published, the person in respect of whose affairs it ought to have been entered cannot invoke it against a third party, unless the third party knew of such fact.
(2) [1]Where the fact has been entered and published, a third party must allow it to be asserted against him. [2]This shall not apply to legal acts effected within fifteen days of the publication, if the third party proves that he neither knew nor ought to have known of the fact.
(3) If a fact to be registered and published is incorrectly published, a third party may invoke the published registered fact against the person in whose affairs the fact was to be registered, unless he knew of the incorrectness.
(4) With regard to business transactions with a branch office which is registered in the Commercial Register and belongs to an enterprise with a seat or main office abroad, the registration and publication by the court of the branch office shall be determinative for the purpose of these provisions.
(5) (1) to (3) shall not apply with respect to information entered in the register sheet of a corporation concerning a branch of the corporation abroad.

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§ 24

(1) Where a person is admitted as a partner into an existing commercial business, or a shareholder or partner either joins or leaves a commercial company or partnership, the existing business name may, notwithstanding such change, continue to be used, even if it includes the name of the former business owner or names of shareholders or partners.
(2) In the event of the departure of a partner or shareholder whose name is included in the business name, the express consent of such partner or his heirs shall be required for continuation of the business name.

§ 25

(1) [1]Whoever carries on a commercial business acquired inter vivos under the previous business name, with or without an addition indicating successorship, shall be liable for all obligations of the former owner incurred in the operation of the business. [2]Where the former owner or his heirs have consented to continuation of the business name, claims arising out of the operation of the business shall, with respect to debtors, be deemed to have devolved to the transferee.
(2) A divergent agreement shall be effective vis-à-vis third parties only if it has been entered in the Commercial Register and published, or if the third party has been notified thereof by the transferee or the transferor.
(3) Where the business name is not continued, the transferee of a commercial business shall be liable for the prior business obligations only if a specific ground for liability exists, in particular if the assumption of the obligations has been made public by the transferee in a manner such as is customary in the trade.

§ 26

(1) [1]Where the transferee of the commercial business is liable for prior business obligations by virtue of continuing the business name or by virtue of the public announcement referred to in § 25 (3), the former business owner shall be liable for such obligations only if they are due before five years have elapsed and claims against him resulting therefrom have been determined in a manner specified in § 197 (1), no. 3 to 5, of the Civil Code, or if a judicial or official act of execution is undertaken or applied for; in the case of public law obligations, the issuance of an administrative act shall suffice. [2]In the case of § 25 (1) the time period shall begin to run at the end of the day on which the new holder of the business name is entered in the Commercial Register of the court of the main office, and in the case of § 25 (3) it shall begin to run at the end of the day on which the assumption of the obligations is made public. [3]The provisions of §§ 204, 206, 210, 211 and 212 (2) and (3) of the Civil Code applying to time-barring shall apply mutatis mutandis.
(2) Insofar as the former business owner has recognised the claim in writing, a determination in a manner specified in § 197 (1), no. 3 to 5, of the Civil Code shall not be necessary.

§ 27

(1) If a commercial business forming part of an estate is continued by the heirs, the provisions of § 25 shall apply mutatis mutandis to the liability of the heirs for prior business obligations.
(2) [1]Unlimited liability pursuant to § 25 (1) shall not arise if continuation of the business is terminated within three months of the date on which the heir gained knowledge of the devolution of the inheritance. [2]The provisions applicable to time-barring in § 210 of the Civil Code shall apply mutatis mutandis to the running of the time period. [3]Where the right to disclaim the inheritance has not been forfeited at the end of the three months, the time limit shall not end prior to the expiry of the period for disclaimer.

§ 28

(1) [1]Where a person joins the business of a sole trader as a general partner or as a limited partner, the partnership shall be liable for all obligations of the former business owner incurred in the operation of the business, even if the partnership does not continue the previous business name. [2]With respect to debtors, claims arising out of the operation of the business shall be deemed to have devolved to the partnership.
(2) A divergent agreement shall be effective vis-à-vis third parties only if it has been entered in the Commercial Register and published, or if the third party has been notified thereof by a partner.

[…]

§ 29

Every merchant is obliged to apply to the court in whose district his establishment is located to have his business name and the place and domestic address of his commercial establishment registered in the Commercial Register.

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§ 48

(1) The general commercial power of representation can be granted only by the owner of the commercial business or by his legal representative and only by means of an express declaration.
(2) The general commercial power of representation can be conferred on several persons jointly (joint general commercial power of representation).

§ 49

(1) The general commercial power of representation shall confer authority to enter into all kinds of judicial and extrajudicial transactions and legal acts involved in the operation of a commercial business.
(2) The holder of a general commercial power of representation shall have authority to dispose of and encumber real property only if such authority has been specifically conferred on him.

§ 50

(1) A limitation on the scope of the general commercial power of representation shall be ineffective vis-à-vis third parties.
(2) This shall apply especially to a limitation whereby the general commercial power of representation is to be exercised only for particular transactions or particular kinds of transactions or only under certain circumstances or for a certain period of time or at specific places.
(3) [1]A limitation of the general commercial power of representation to the operation of one of several establishments of the business owner shall be effective vis-à-vis third parties only if the establishments are operated under different business names. [2]A business name shall also be different within the meaning of this provision if, for a branch office, an addition is appended to its business name to indicate that it is the business name of the branch office.

§ 51

The holder of a general commercial power of representation shall sign by adding to the business name his own name with an addition indicating the general commercial power of representation.

§ 52

(1) The general commercial power of representation is revocable at any time irrespective of the legal relationship underlying the conferment thereof, without prejudice to the right to contractual remuneration.
(2) The general commercial power of representation is not transferable.
(3) The general commercial power of representation shall not terminate upon the death of the owner of the commercial business.

§ 53

(1) [1]The owner of the commercial business shall apply for registration of conferment of a general commercial power of representation in the Commercial Register. [2]Where the general

commercial power of representation has been conferred as a joint general commercial power of representation, this must also be submitted for entry.
(2) Termination of the general commercial power of representation shall be submitted for entry in the same manner as conferment thereof.

§ 54

(1) Where a person is authorised, without conferment of a general commercial power of representation, to operate a commercial business, to undertake a particular kind of transaction relating to a commercial business or to undertake individual transactions relating to a commercial business, such power of attorney (commercial authority to act) shall extend to all transactions and legal acts which are normally involved in the operation of such a commercial business or in the undertaking of such transactions.
(2) The holder of a commercial authority to act shall have authority to dispose of or encumber real property, to enter into bill of exchange commitments, to take out loans and to conduct litigation only if such authority has been specifically conferred on him.
(3) A third party must allow other limitations on the commercial authority to act to be asserted against him only if he knew or ought to have known of such limitations.

§ 56

A person employed in a shop or in a warehouse open to the public shall be deemed to have authority to handle any sales transactions or actions of acceptance customary in such a shop or warehouse.

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§ 105

(1) A partnership formed for the purpose of carrying on a commercial business under a joint business name is a general partnership if no partner's liability is limited vis-à-vis the partnership's creditors.
(2) [1]A partnership, whose commercial enterprise is not deemed to be a commercial business pursuant to § 1 (2), or which manages only its own assets, is a general partnership if the business name of the enterprise is registered in the Commercial Register. [2]§ 2, second and third sentences, shall apply with the necessary modifications.
(3) Unless this Part provides otherwise, the provisions of the Civil Code concerning a partnership shall apply to the general partnership.

§ 161

(1) A partnership formed for the purpose of carrying on a commercial business under a joint business name is a partly limited partnership if the liability of one or more of the partners is limited vis-à-vis the partnership's creditors to the amount of a specific contribution of assets (limited partners), while the other partners have unlimited liability (general partners).
(2) Unless this Part provides otherwise, the provisions applicable to the general partnership shall apply to the partly limited partnership.

§ 164

[1]The limited partners shall be excluded from the management of the partnership business; they may not object to an action taken by the general partners unless such action exceeds the scope of the ordinary course of the partnership's commercial business. [2]The provisions of § 116 (3) shall remain unaffected.

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§ 343

(1) Commercial transactions under this Code are all transactions conducted by a merchant that are part of carrying out his business.
[…]

§ 344

(1) There is a rebuttable assumption that all legal transactions carried out by a merchant are carried out as part of his business
[…]

§ 345

Any transaction which, as far as one of the parties is concerned, is a mercantile transaction is governed as regards both parties alike, subject to any provision contrary contained in this part of this code, by the rules applying to mercantile transactions.

§ 346

All acts and omissions as between mercantile traders must be interpreted as regards their significance and effect with reference to mercantile usage and customs.

§ 347

If any person, in respect of a transaction, which on his side is a mercantile transaction, owes a duty to another person to use diligence, the standard of diligence required is that habitual to a careful mercantile trader. […]

§ 354

(1) Any person who, in the course of the mercantile trade which he carries on, transacts business or performs services on behalf of another may, in the absence of express agreement, claim commission, and in the case of the warehousing of goods, warehousing charges at rates in accordance with local custom.
[…]

§ 362

(1) [1]If a businessman, whose business operation involves the procurement of business for others, receives an application for the procurement of such business from someone with whom he has a business relationship, he shall be obliged to reply immediately; his silence shall be deemed acceptance of the application. [2]The same shall apply if a merchant receives an application to procure business from someone to whom he has offered to procure such business.
(2) Even if the merchant rejects the application, he shall, at the expense of the applicant, temporarily indemnify the goods sent together with the application from damage, insofar as he is covered for these costs and insofar as this can be done without prejudice to him.

§ 377

(1) If the sale of goods is a commercial transaction under this Code for both parties, then the purchaser must examine the goods in due course after delivery, to the extent that this is possible in the purchaser's course of business, and notify the vendor about all material defects in due course.
(2) If the purchaser does not give notice in due course, the goods are considered approved by the purchaser, unless the material defect was not discernable upon examination.

(3) If such a defect shows later, then the notification must be made in due course after the default has been discovered; otherwise, the goods are considered approved by the purchaser in respect of this default.
(4) To retain the purchaser's right, dispatching the notification in due course is sufficient.
(5) If the vendor has fraudulently concealed the defect, he cannot exercise any rights under this provision.

VII. Limited Liability Companies Act (GmbHG)

§ 1
Purpose; number of founders

A limited liability company may be formed by one person or several persons pursuant to the provisions of this Act for any purpose permitted by law.

§ 2
Form of the articles of association

(1) Articles of association require notarial form. They must be signed by all the shareholders.
(1a) 1A company may be formed under a simplified procedure if it has no more than three shareholders and one director. 2The Model Protocol provided in Annex 1 must be used to form a limited liability company under the simplified procedure. 3No further provisions which derogate from the law may be laid down. 4The Model Protocol also serves as the list of shareholders. 5In all other respects, the provisions of this Act concerning the articles of association apply accordingly to the Model Protocol.
(2) 1The articles of association may be signed by authorised representatives only on the basis of a power of attorney established or authenticated by a notary. 2Notarial recording of the power of attorney may also be effected via video link in accordance with §§ 16a to 16e of the Notarial Recording Act.
(3) Notarial recording of the articles of association may also be effected via video link in accordance with §§ 16a to 16e of the Notarial Recording Act, unless precluded by other formal requirements; obligations relating to the transfer of shares to the company may be included in the articles of associations. If the notarial recording is effected via video link, then, in derogation from subsection (1) sentence 2, the qualified electronic signatures of the directors participating in the notarial recording via video link are sufficient to effect signature. Other declarations of intent which do not require notarial recording may be effected via video link in accordance with §§ 16a to 16e of the Notarial Recording Act; they must be included in the electronic record made as required by sentence 1. Sentence 3 applies accordingly to resolutions passed by unanimous vote. A company may also be formed via video link under the simplified procedure as referred to in subsection (1a) or using the Model Protocols provided in Annex 2. Subsection (1a) sentences 3 to 5 applies accordingly when using the Model Protocols provided in Annex 2.

§ 3
Content of the articles of association

(1) The articles of association must stipulate the following:
1. The company's business name and the place of its registered office,
2. The purpose of the enterprise,
3. The amount of the share capital,
4. The number and nominal values of the shares to which each shareholder subscribes against payment of the capital contribution into the share capital (original capital share).

(2) If the enterprise is to be formed for a specific term or if other obligations vis-à-vis the company are to be imposed on the shareholders in addition to payment of a capital contribution, these provisions must also be included in the articles of association.

§ 4
Business name

[1]The business name must include the designation "Gesellschaft mit beschränkter Haftung" or a readily comprehensible abbreviation of this designation even if it is continued in accordance with § 22 of the Commercial Code or other statutory provisions. [2]If the company exclusively

and directly pursues tax-privileged purposes in accordance with §§ 51 to 68 of the Fiscal Code, the abbreviation “gGmbH” may be used.

§ 4a
Registered office

The place of the company’s registered office shall be that place in Germany as specified in the articles of association.

§ 5
Share capital; share

(1) The company’s share capital must amount to no less than twentyfive thousand euros.
(2) [1]The nominal value of each share must be a full euro amount. [2]A shareholder may subscribe to several shares upon formation of the company.
(3) The amount of the nominal values of the individual shares may be variously determined. The sum total of the nominal values of all the shares must equal the amount of the share capital.
(4) [1]If contributions in kind are to be made, the object of the contribution in kind and the nominal value of the share to which the contribution in kind refers must be specified in the articles of association. [2]The shareholders shall set forth in a report on company formation on the basis of contributions in kind the material circumstances which establish the appropriateness of the payments for contributions in kind and, where an enterprise is transferred to the company, shall state the annual results of the two previous financial years.

§ 5a
Entrepreneurial company

(1) The name of a company formed with a share capital which falls short of the minimum share capital in accordance with § 5 (1) must, in derogation of § 4, bear the designation “Unternehmergesellschaft (haftungsbeschränkt)” (entrepreneurial company (limited liability)) or “UG (haftungsbeschränkt)” for short.
(2) [1]In derogation of § 7 (2), the application to register the company may not be filed until the full amount of the share capital has been deposited. [2]Contributions in kind shall not be possible.
(…)
(5) If the company increases its share capital so that it then equals or exceeds the amount of the minimum share capital referred to in § 5 (1), (1) to (4) above shall no longer apply; the business name in accordance with (1) may be retained.

§ 7
Registration of the company

(1) An application to enter the company in the Commercial Register must be filed with that court in whose district the company has its registered office.
(2) [1]The application for registration may be made only after one quarter of the nominal value of each share has been deposited, unless contributions in kind have been agreed. [2]In total, at least as much of the share capital must have been deposited so that the total amount of the contributions in cash paid in, plus the total nominal capital of the shares for which contributions in kind are to be paid, equals half of the minimum share capital pursuant to § 5 (1).
(3) The contributions in kind shall be effected to the company, before the application for entry in the Commercial Register is filed, in such a manner that they are finally at the free disposal of the directors.

§ 8
Content of application for registration

(1) The following must be enclosed with the application for registration:

1. The articles of association and, in the case referred to in § 2 (2), the powers of attorney of those representatives who have signed the articles of association, or a certified copy of these documents,
2. The directors' legitimation, unless their appointment has been laid down in the articles of association,
3. A list of shareholders which meets the requirements of § 40 and which has been signed by those applying for registration or bears the qualified electronic signatures of those applying for registration,
4. In the case referred to in § 5 (4), the agreements on which the determinations are based or which were concluded in respect of their execution, and the report on company formation on the basis of contributions in kind,
5. If contributions in kind have been agreed, the documents certifying that the value of the contributions in kind equals the nominal value of the shares subscribed to thereby.

(2) [1]The application for registration must include the assurance that the payments against the shares referred to in § 7 (2) and (3) have been effected and that the object of the payments is finally at the free disposal of the directors. [2] Where there are considerable doubts as to the veracity of the assurance, the court may require submission of proof such as, in particular, the production of deposit slips issued by a financial institution or payment service provider established in the European Union.

(3) [1]The directors must give their assurance in the application for registration that there are no circumstances which preclude their appointment in accordance with § 6 (2), second sentence, nos 2 and 3, and the third sentence, and that they have been instructed about their unlimited duty to disclose information to the court. [2]The instruction referred to in § 53 (2) of the Federal Central Criminal Register Act may be given in writing; it may also be given by a notary or a notary appointed abroad, by a representative of a comparable legal advisory profession or a consular official.

(4) The application for registration must also indicate the following:

1. A domestic business address,
2. The nature and extent of the directors' powers of representation.

(5) § 12 (2) of the Commercial Code shall apply with the necessary modifications to the submission of documents in accordance with this Act.

§ 9
Over-valuation of the contributions in kind

(1) [1]If at the point in time at which the application for entry of the company in the Commercial Register is filed the value of a contribution in kind does not equal the nominal value of the share subscribed to thereby, the shareholder must pay a contribution in cash in the amount of the shortfall. [2]Other claims shall remain unaffected.

(2) The company's claim in accordance with (1), first sentence, shall become statute-barred ten years after the company is entered in the Commercial Register.

§ 11
Legal status prior to entry

(1) A limited liability company shall not exist as such until the company has been entered in the Commercial Register at the place of its registered office.

(2) Where acts are performed in the company's name before the entry is made, the persons acting shall be personally and severally liable.

§ 12
Company announcements

[1]Wherever the law or the articles of association provide that matters concerning the company must be announced, such announcement shall be effected by publication in the Federal Gazette (company's designated publication). [2]The articles of association may designate further public gazettes or electronic information media as the company's designated publications.

§ 13
Legal person; commercial company

(1) A limited liability company as such has independent rights and obligations; it may acquire ownership of and other rights in real property, and may sue and be sued in court.
(2) The company assets alone shall serve to discharge the company's obligations vis-à-vis its creditors.
(3) The company is deemed to be a commercial company within the meaning of the Commercial Code.

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§ 15
Transfer of shares

(1) Shares shall be alienable and inheritable.
(2) If a shareholder purchases further shares in addition to his original share, these shall remain legally independent.
(3) An agreement concluded in notarial form shall be required for the transfer of shares by shareholders.
(4) [1]An agreement establishing the shareholder's obligation to transfer a share shall likewise require notarial form. [2]However, an agreement concluded without such notarial form shall become valid once the transfer agreement is concluded pursuant to (3).
(5) The articles of association may stipulate that the transfer of shares be made dependent on further conditions, in particular the company's consent.

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§ 29
Appropriation of earnings

(1) [1]The shareholders shall have a claim to the annual surplus plus any profit carried forward and minus any losses carried forward in so far as the resulting amount is not excluded from distribution amongst the shareholders by law or the articles of association, by decision in accordance with (2) or as additional expenses on the basis of the decision concerning the appropriation of earnings. [2]If the balance sheet is prepared taking account of the partial appropriation of the earnings or if reserves are released, the shareholders shall, in derogation of the first sentence, have a claim to the net earnings shown in the balance sheet.
(2) Unless the articles of association provide otherwise, the shareholders may allot the amounts to retained earnings or carry them forward as profit on the basis of a resolution to appropriate earnings.
(3) [1]The profit shall be distributed in proportion to the shares. [2]The articles of association may stipulate another criterion for distribution.
(4) [1]Notwithstanding (1) and (2) and deviating agreements regarding profit distribution in accordance with (3), second sentence, the directors may, with the consent of the supervisory board or the shareholders, allocate to other retained earnings the capital share of those

appreciations in value of fixed and current assets. [2]The amount of these reserves must be entered separately in the balance sheet; it may also be stated in the annex.

§ 30
Capital maintenance

(1) [1]The assets the company requires to maintain its share capital may not be paid out to the shareholders. [2]The first sentence shall not apply to payments made upon the existence of a control or profit transfer agreement (§ 291 of the Stock Corporation Act) or to payments which are covered by a full claim to counterperformance or restitution against the shareholder. [3]The first sentence shall also not be applicable to the repayment of a shareholder loan and payments against claims arising from legal acts which correspond economically to a shareholder loan.
(2) [1]If they are not needed to cover a loss in share capital, any paid in additional contributions may be repaid to the shareholders. [2]The repayment may not be made before three months have elapsed since the decision to make the repayment was made known in accordance with § 12. [3]In the case referred to in § 28 (2), repayment of additional contributions shall be inadmissible before the share capital has been deposited in full. [4]Repaid additional contributions shall be deemed not to have been collected.

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§ 35
Representation of the company

(1) [1]The company shall be represented in and out of court by the directors. [2]If a company has no director, the company shall be represented by the shareholders whenever declarations of intent are made or documents are served on it.
(2) [1]If several directors have been appointed, they shall only all be jointly authorised to represent the company, unless provided otherwise in the articles of association. [2]Where a declaration of intent is to be made to the company, it shall be sufficient for it to be made to one representative of the company in accordance with (1). [3]Declarations of intent may be made to and documents served on the representatives of the company referred to in (1) under the address entered in the Commercial Register. [4]Notwithstanding that, the declarations may also be made to and documents may also be served under the registered address to persons authorised in accordance with § 10 (2), second sentence.
(…)

§ 35a
Required particulars in business letters

(1) [1]All business letters, regardless of their form, which are addressed to a specific recipient must indicate the company’s legal form and registered office, the court of registration at the place of the company’s registered office and the number under which the company has been entered in the Commercial Register, the directors and, if the company has established a supervisory board and the supervisory board has a chairperson, the chairperson of the supervisory board together with his family name and at least one given name written out in full. [2]Where information is supplied regarding the company’s capital, the share capital as well as, if all the capital contributions to be made in cash have not yet been made, the overall amount of the outstanding capital contributions must in any case be stated.
(2) The particulars referred to in (1), first sentence, shall not be necessary in notifications or reports issued in connection with an existing business relationship and for which forms are generally used in which only the required particular needs to be entered in an individual case.
(3) [1]Order forms shall be deemed to be business letters within the meaning of (1). [2](2) shall not apply to them.

(4) [1]All business letters and order forms used by a branch office of a limited liability company with a registered office abroad must include the register in which the branch office is recorded and the number of the register entry; in all other respects, the provisions set out in (1) to (3) shall apply to particulars regarding the main office and the branch office in so far as foreign legislation does not require any deviations therefrom. [2]If the foreign company is in liquidation, this fact and all the liquidators shall also be indicated.

§ 37

Restrictions on the power of representation

(1) The directors shall be obligated vis-à-vis the company to observe those restrictions which have been set out in the articles of association as regards the extent of their power to represent the company or, unless otherwise provided therein, by resolutions passed by the shareholders.
(2) [1]A restriction of the directors' power to represent the company shall have no legal effect in respect of third persons. [2]This shall in particular apply to those cases in which the representation is restricted to certain business or types of business only or only under certain circumstances or for a certain period of time or in specific places, or where the consent of the shareholders or a company organ is required for the conduct of specific business.

§ 38

Revocation of appointment

(1) The directors' appointment may be revoked at any time without prejudice to claims for compensation resulting from existing agreements.
(2) [1]The articles of association may restrict the permissibility of the revocation to cases in which there are important grounds therefor. [2]Serious breach of duty or the incapacity for proper management shall be deemed to be such grounds.

§ 43

Directors' liability

(1) The directors shall conduct the company's affairs with the due care of a prudent businessman.
(2) Directors who breach the duties incumbent upon them shall be severally and jointly liable to the company for any damage arising.
(3) [1]In particular, they shall be obligated to compensate where payments have been made in contravention of § 30 from those company assets which are required to maintain the share capital or the company's own shares have been purchased in contravention of the provisions set out in § 33. [2]The provisions set out in § 9b (1) shall apply with the necessary modifications to a claim for compensation. [3]Where compensation must be paid to satisfy the company's creditors, the directors' obligation shall not be abrogated on account of the fact that they acted in compliance with a resolution passed by the shareholders.
(4) The claims based on the aforementioned provisions shall become statute-barred after five years.

§ 46

Duties of the shareholders

The following shall be subject to the shareholders' disposition:

1. The approval of the annual financial statements and the appropriation of earnings;

1a. Decisions concerning the disclosure of separate financial statements in accordance with international accounting standards (§ 325 (2a) of the Commercial Code) and concerning the approval of the financial statements prepared by the directors;

1b. The approval of consolidated financial statements prepared by the directors;

2. The calling in of capital contributions;
3. The repayment of additional contributions;
4. The division of, grouping and collection of shares;
5. The appointment and dismissal of the directors, as well as their discharge;
6. The regulation of audits and oversight of the management;
7. The appointment of those vested with the general commercial power of representation and those vested with the commercial power of attorney for the entire business establishment;
8. The assertion of claims for compensation to which the company is entitled from the formation or the management is entitled vis-à-vis directors or shareholders, as well as the representation of the company in proceedings being conducted against the directors.

§ 51a
Right to information and right of inspection

(1) The directors must without undue delay provide each shareholder, upon their request, with information on the company's affairs and allow them to inspect the books and company documents.
(2) [1]The directors may refuse to provide information or permit inspection if there is a concern that the shareholder may make use thereof for non-company purposes and thereby put the company or an associated company at a not insignificant disadvantage. [2]Refusal shall require a resolution of the shareholders.
(3) These provisions may not be derogated by the articles of association.

§ 79
Coercive fines

(1) [1]Directors or liquidators who do not comply with §§ 35a and 71 (5) shall be required to do so by the court of registration by means of the imposition of a coercive fine; § 14 of the Commercial Code shall remain unaffected. [2]Each individual coercive fine may not exceed the amount of five thousand euros.
(2) With due regard for the applications for entry in the Commercial Register referred to in §§ 7, 54, 57 (1) and § 58 (1), no. 3, a coercive fine shall not be imposed in accordance with § 14 of the Commercial Code in so far as this refers to the application for entry of the company's registered office in the Commercial Register.

VIII. German Stock Corporation Act (AktG)

§ 1
Nature of the Stock Corporation

(1) [1]The company is a stock corporation that constitutes a separate legal entity. [2]Liability to creditors with respect to obligations of the company shall be limited to the company’s assets.
(2) The company shall have a capital divided into shares.

§ 3
Commercial Enterprise; Listing

(1) The company shall constitute a commercial enterprise even if the purpose of the enterprise does not comprise commercial activity.
(2) Stock exchange listed within the meaning of this law are those corporations whose shares have been admitted to a market that is regulated and supervised by state recognized authorities and that takes place regularly and is directly or indirectly accessible to the public.

§ 4
Business Name

The business name of the company shall contain, even if it is continued according to § 22 of the Commercial Code or similar legal provisions, the designation ‘Aktiengesellschaft’ or a generally understood abbreviation of this designation.

§ 5
Domicile

The company’s domicile shall be the location in Germany designated in the articles.

§ 6
Share Capital

The share capital shall be denominated in Euro.

§ 7
Minimum Par Value of the Share Capital

The minimum par value of the share capital shall be fifty thousand euros.

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§ 23
Establishment of the by-laws

(1) [1]The by-laws must be established by way of being recorded by a notary. [2]Authorised representatives may act only if they have a power of attorney certified by a notary.
(2) The deed is to set out the following particulars:
1. The founders;
2. For par-value shares: the nominal amount; for no-par-value shares: their number, the issue price, and, if several classes of stock exist, the classes of the stock that each founder will acquire;
3. The amount of the share capital that has been paid in.

(3) The by-laws must determine:
1. The company’s business name and its seat;
2. The purpose of the enterprise; specifically, industrial and trade enterprises are to provide details regarding the nature of the products and goods that are to be manufactured and traded;

3. The amount of the share capital;
4. The division of the share capital either into par-value shares or into no-par-value shares; for par-value shares, their nominal amounts and the number of the shares per nominal amount are to be cited; for no-par-value shares, their number; furthermore, if several classes of stock exist, the class of the stock and the number of shares of stock making up each class.
5. Whether the shares of stock are issued as bearer shares or registered in the names of their holders;
6. The number of members the management board is to have, or the rules according to which this number will be established.

(4) Furthermore, the by-laws must include determinations as to the formal requirements applying to the company's publications by notice.
(5) [1]The by-laws may deviate from the regulations of the present Act only where this has been expressly permitted. [2]Supplementing the by-laws by additional determinations is permissible unless the present Act provides conclusively for the matter.

§ 41
Actions taken in the name of the company prior to its entry in the register. Prohibited issuance of shares of stock

(1) [1]Prior to entry in the Commercial Register, a stock corporation shall not exist as such. [2]Anyone acting in the name of the company prior to its having been entered in the register shall be personally liable; where several individuals take any action, they shall be jointly and severally liable.
(2) Where the company assumes an obligation that was entered into on its behalf prior to the company having been registered, and does so by way of a contract with the debtor such that the company takes the stead of the current debtor, this assumption of the obligation shall not require the consent of the creditor in order to be valid if the assumption of the obligation is agreed within three (3) months of the company having been entered in the register and the creditor is notified of this assumption of the obligation by the company or the debtor.
(3) The company may not assume any obligations arising from contracts that have not been specified in the by-laws and that concern special benefits, formation expenses, contributions in kind, or acquisitions of assets.
(4) [1]Prior to entry of the company in the register, share interests may not be transferred, while shares of stock or temporary share certificates may not be issued. [2]Any shares of stock or temporary share certificates issued previously shall be null and void. [3]The issuers shall be jointly and severally liable to the holders for any damages resulting from the issuance.

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§ 76
Leadership of the Stock Corporation

(1) The management board shall have direct responsibility for the management of the company.
(2) [1]The management board may comprise one or more persons. [2]In the case of companies having a share capital of more than 3 million euros, the management board shall comprise not less than two persons, unless the articles provide that it shall comprise one person. [3]The provisions governing the appointment of a labour director to the management board shall remain unaffected.
[…]

§ 77
Management

(1) [1]If the management board comprises more than one person, the members of the management board shall manage the company jointly. [2]The articles or the bylaws for the management board may provide otherwise; however, the articles or by-laws may not provide that one or more members of the management board may resolve differences of opinion within the management board against the majority of its members.
(2) [1]The management board may issue by-laws of the management board unless the articles confer the authority to issue such by-laws upon the supervisory board or the supervisory board issues by-laws for the management board. [2]The articles may make binding provisions in respect of specific matters relating to the by-laws. [3]Resolutions of the management board regarding the by-laws shall require a unanimous vote.

§ 78
Representation

(1) [1]The management board shall represent the company in and out of court. [2]If the company does not have a management board (rudderless management), the company shall be represented by the supervisory board in case declarations of intent are made towards the company or documents are sent to the company.
(2) [1]If the management board comprises more than one person, the members of the management board shall represent the company jointly, unless the articles provide otherwise. [2]If a statement with legal effect is to be given to the company, it shall suffice if such statement is made to one member of the management board or, in case of (1) sentence 2, to one member of the supervisory board. [3]Declarations of intent towards the company may be made and documents for the company may be sent to the representatives of the company pursuant to (1) using the business address entered in the commercial register. [4]Irrespective of the above, such declarations or documents may be made or sent, respectively, using the registered address of the person authorised to accept these pursuant to § 39 (1) sentence 2.
(…)

§ 84
Appointment and Removal of the Management Board

(1) [1]The supervisory board shall appoint the members of the management board for a period not exceeding five years. [2]Such appointment may be renewed or the term of office may be extended, provided that the term of each such renewal or extension shall not exceed five years. [3]Such renewal or extension shall require a new resolution of the supervisory board, which may be adopted no more than one year prior to the expiration of the current term of office. [4]The term of office may be extended without a new resolution of the supervisory board only in the case of an appointment for less than five years, provided that the aggregate term of office does not, as a result of such extension, exceed five years. [5]The foregoing shall apply analogously to the contract of employment; such contract may provide, however, that in the event of an extension of the term of office, the contract shall continue in effect until the expiry of such term.
(2) If more than one person is appointed as member of the management board, the supervisory board may appoint one member as chairman of the management board.
[…]

§ 90
Reports to the supervisory board

(1) [1]The management board shall report to the supervisory board on the following topics:

1. The business policy it intends to pursue and other fundamental matters of corporate planning (in particular financial planning, investment planning, and human resources planning), in which context any instances are to be addressed in which actual developments deviate from the targets previously reported and the reasons therefor are to be provided;
2. The company's profitability, in particular the return on equity;
3. The course of business, in particular the sales of the company, and its economic situation;
4. Transactions that may have a significant impact on the profitability or liquidity of the company.

[2]Where the company is a parent company (§ 290 (1), (2) of the Commercial Code (HGB)), the report is to also address subsidiary companies and joint ventures (§ 310 (1) of the Commercial Code (HGB)). [3]Furthermore, a report also is to be submitted to the chairman of the supervisory board on the occasion of other important events; a business process ongoing at an affiliated enterprise of which the management board has become aware and which is suited to significantly influence the economic situation of the company is likewise to be regarded as an important event occasioning such a report.

(2) The reports pursuant to (1), first sentence, no. 1 to 4 are to be submitted as follows:

1. The reports set out in no. 1: at least once a year, unless changes of the situation or new issues mandate that a report be submitted without undue delay;
2. The reports set out in no. 2: at the meeting of the supervisory board at which the annual accounts are deliberated;
3. The reports set out in no. 3: regularly, at least once per quarter;
4. The reports set out in no. 4: if possible, in such good time that the supervisory board has the opportunity to state its position prior to the transactions in question being entered into.

(3) [1]The supervisory board may demand at any point in time that the management board submit a report to it concerning matters of the company, its legal and business relations with affiliated enterprises, as well as business processes ongoing at these enterprises that are suited to significantly influence the economic situation of the company. [2]An individual member may demand as well that such a report be submitted, however, the addressee shall be solely the supervisory board.

(4) [1]The reports are to correspond to the principles of conscientious and faithful accounting. [2]They are to be submitted in as good a time as possible and, to the exception of the report set out in (1), third sentence, as a rule are to be provided in text form.

(5) [1]Each member of the supervisory board is entitled to obtain knowledge of the reports. [2]Insofar as the reports have been submitted in text form, they shall also be transmitted to each member of the supervisory board upon a corresponding demand being made, unless the supervisory board has resolved otherwise. [3]The chairman of the supervisory board is to notify the members of the supervisory board concerning the reports pursuant to (1), third sentence, at the latest at the next meeting of the supervisory board.

§ 93
Duty of Care and Responsibility of Members of the Management Board

(1) [1]In conducting business, the members of the management board shall employ the care of a diligent and conscientious manager. [2]They shall not be deemed to have violated the aforementioned duty if, at the time of taking the entrepreneurial decision, they had good reason to assume that they were acting on the basis of adequate information for the benefit of the company. [3]They shall not disclose confidential information and secrets of the company, in

particular trade and business secrets, which have become known to the members of the management board as a result of their service on the management board.
(2) [1]Members of the management board who violate their duties shall be jointly and severally liable to the company for any resulting damage. [2]They shall bear the burden of proof in the event of a dispute as to whether or not they have employed the care of a diligent and conscientious manager. [3]If the company takes out an insurance covering the risks of a member of the managing board arising from his work for the company, such insurance should provide for a deductible of no less than 10 per cent of the damage up to at least an amount equal to 1.5 times the fixed annual compensation of the managing board member.
(3) The members of the management board shall in particular be liable for damages if, contrary to this Act:

1. contributions are repaid to shareholders;
2. shareholders are paid interest or dividends;
3. own shares or shares of another company are subscribed, acquired, taken as a pledge or redeemed;
4. share certificates are issued before the issue price has been paid in full;
5. assets of the company are distributed;
6. (repealed),
7. remuneration is paid to members of the supervisory board;
8. credit is granted;
9. in connection with a conditional capital increase, new shares are issued other than for the specified purpose or prior to full payment of the consideration.

(4) [1]The members of the management board shall not be liable to the company for damages if they acted pursuant to a lawful resolution of the shareholders' meeting. [2]Liability for damages shall not be precluded by the fact that the supervisory board has consented to the act. [3]The company may waive or compromise a claim for damages not prior to the expiry of three years after the claim has arisen, provided that the shareholders' meeting consents thereto and no minority whose aggregate holding equals or exceeds one-tenth of the share capital records an objection in the minutes. [4]The foregoing period of time shall not apply if the person liable for damages is insolvent and enters into a settlement with his creditors to avoid or terminate insolvency proceedings.
(5) [1]The claim for damages of the company may also be asserted by the company's creditors if they are unable to obtain satisfaction from the company. [2]However, in cases other than those set out in (3), the foregoing shall apply only if the members of the management board have manifestly violated the duty of care of a diligent and conscientious manager; (2) sentence 2 shall apply analogously. [3]Liability for damages with respect to the creditors shall be extinguished neither by a waiver nor by a compromise of the company nor by the fact that the act that has caused the damage was based on a resolution of the shareholder's meeting. [4]If insolvency proceedings have been instituted over the company's assets, the receiver in insolvency shall exercise the rights of the creditors against the members of the management board during the course of such proceedings.
(6) For companies that are listed on a stock exchange at the point in time of the violation of duty, claims under the foregoing provisions shall be time barred after the expiration of a period of ten years; for other companies, claims under the foregoing provisions shall be time barred after the expiration of a period of five years.

§ 101
Appointment of the Members of the Supervisory Board

(1) [1]The members of the supervisory board shall be elected by the shareholders' meeting, unless they are to be appointed to the supervisory board or elected as representatives of the employees pursuant to the Codetermination Act, the Supplemental Codetermination Act, the One-Third Co-determination Act or the Act on Employee Co-determination within Cross-border Mergers. [2]The shareholders' meeting shall be bound by nominations only pursuant to § 6 to 8 of the Coal and Steel Co-determination Act.
(2) [1]The right to appoint members to the supervisory board may only be granted by the articles and only to specific shareholders or the holders of specific shares. [2]The right to appoint may be granted to holders of specific shares only if the shares are in registered form and if their transfer requires the consent of the company. [3]Shares of holders of the right to appoint shall not be deemed to constitute a separate class. [4]Rights to appoint may be granted only with respect to no more than one-third in aggregate of the shareholder representatives in the supervisory board as determined by law or the articles.
(3) [1]It shall not be permitted to appoint deputies of members of the supervisory board. [2]However, for each member of the supervisory board a substitute member may be appointed who shall become a member of the supervisory board if the regular member ceases to hold office prior to the expiration of his term of office, except for the additional member to be elected pursuant to the Coal and Steel Co-determination Act or the Supplemental Co-determination Act upon nomination by the other members of the supervisory board. [3]Such substitute member may only be appointed at the same time as the respective regular member of the supervisory board. [4]The provisions governing members of the supervisory board shall govern his appointment, the invalidity of such appointment and actions to set it aside.

§ 111
Duties and Rights of the Supervisory Board

(1) The supervisory board is to supervise the management board.
(2) The supervisory board may inspect and audit the books and records of the company as well as its assets, particularly the company's cash and the inventory of securities and goods. It may also instruct individual members to perform these tasks, or may commission special experts for certain tasks. The supervisory board instructs the statutory auditor to audit the annual financial statements and the consolidated financial statements pursuant to § 290 of the Commercial Code. Moreover, the supervisory board may instruct that an external audit be performed of the substance of the non-financial statement or of the separate non-financial report (§ 289b of the Commercial Code), or of the consolidated non-financial statement or the separate consolidated non-financial report (§ 315b of the Commercial Code).
(3) The supervisory board is to convene a general meeting where this is required by the company's best interests. It suffices for the corresponding resolution to be adopted by a simple majority.
(4) The measures to be taken by the management may not be transferred to the supervisory board. However, it is to be determined in the by-laws or by the supervisory board that certain types of business transactions may be implemented only with the supervisory board's consent. Where the supervisory board refuses to grant such consent, the management board may demand that the general meeting adopt a resolution concerning such consent. The resolution by which the general meeting grants its consent requires a majority of at least three quarters of the votes cast. The by-laws may neither stipulate a greater majority ratio, nor may they impose further requirements.
(5) The supervisory boards of listed companies or companies that are subject to co-determination rights stipulate target values for the share of women sitting on the supervisory

board and the management board. The target values must describe the share of women targeted for the body respectively concerned and must correspond, where percentages are cited, to full numbers of persons. Where the supervisory board stipulates the target value "zero" for the share of women sitting on the supervisory board or management board, it is to provide a clear and understandable reasoning for this resolution. The reasoning must present the details of the deliberations on which the decision is based. Where the share of women is lower than 30 per cent at the time the target values are laid down, the target values stipulated no longer may be lower than the share respectively attained. Concurrently, periods are to be set within which the target values are to be attained. In each case, the periods may not be longer than five years. If the requirement as to the minimum ratio pursuant to § 96 (2) or (3) already applies to the supervisory board, the stipulations are to be made solely for the management board. If the requirement as to gender participation stipulated by § 76 (3a) applies to the management board, then the obligation to set a target value for the management board likewise will lapse.
(6) The members of the supervisory board may not have others perform the tasks incumbent on them.

§ 112
Representation of the Company as against Members of the Management Board

[1]The supervisory board shall represent the company both in and out of court as against the management board. [2]§ 78 (2) sentence 2 shall apply accordingly.

§ 118
General Provisions

(1) Unless stipulated otherwise by the law, the stockholders exercise their rights in matters pertaining to the company at the general meeting. The by-laws may provide, or may grant authority to the management board to provide, that the stockholders may attend the general meeting also without being physically present at the place at which it is being held and without an authorised representative, and that they may exercise the entirety of their rights, or individual of their rights, as a whole or in part, by means of electronic communication. Where the voting right is exercised electronically, the company is to confirm electronically the receipt of the vote cast electronically to the party casting the vote in accordance with the requirements stipulated under Article 7 (1) and Article 9 (5) sub-paragraph (1) of Commission Implementing Regulation (EU) 2018/1212. Insofar as the confirmation is issued to an intermediary, the intermediary is to transmit the confirmation to the stockholder without undue delay. § 67a (2) sentence 1 and (3) applies accordingly.
(2) The by-laws may provide, or may grant authority to the management board to provide, that stockholders may cast their votes also without attending the general meeting, in writing or by means of electronic communication (postal vote). (1) sentence 3 to 5 applies accordingly.
(3) The members of the management board and of the supervisory board as a rule are to attend the general meeting. However, the by-laws may provide for certain cases in which the members of the supervisory board may attend by means of video and audio transmission.
(4) The by-laws or the rules of procedure pursuant to § 129 (1) may provide, or may grant authority to the management board or the person chairing the general meeting to provide, that the general meeting may be broadcast by means of video and audio transmission.

§ 119
Rights of the Shareholders' Meeting

(1) The shareholders' meeting shall resolve on all matters expressly stated in this Act or the articles, in particular with respect to:
1. the appointment of members of the supervisory board, unless they are to be delegated to the supervisory board or are to be elected as members of the supervisory board

representing the employees pursuant to the Employee Co-Determination Act, the Supplementary Co-determination Act, the Act on One-Third Employee Representation in the Supervisory Board or the Act on Employee Co-Determination in the Case of a Cross-Border Merger;

2. the appropriation of the net income;
3. the remuneration system and the remuneration report for members of the listed company's management board and supervisory board;
4. the approval of the actions taken by the members of the management board and of the supervisory board and the granting of discharge to them;
5. the appointment of the statutory auditor;
6. amendments of the by-laws;
7. measures serving the procurement of capital and the reduction of capital;
8. the appointment of auditors who are to audit actions taken and events occurring in the course of the company's formation or of the management of its affairs;
9. the dissolution of the company.

(2) The shareholders' meeting may decide on matters concerning the management of the company only if required by the management board.

IX. INSOLVENCY STATUTE – (INSO)

§ 15a
Obligation to Request in the Case of Legal Persons and Associations Without Legal Personality

(1) Where a legal person becomes illiquid or overindebted, the members of the board of directors or the liquidators shall file a request for the opening of proceedings without culpable delay. […]
(4) A custodial sentence not exceeding three years or a monetary penalty shall be imposed on anyone who, in contravention of (1) sentences 1 and 2, also in conjunction with sentence 3 or (2) or (3), fails to

1. make it or make it in good time, or
2. file it correctly.

(5) If the perpetrator under (4) acts negligently, the punishment shall be imprisonment for not more than one year or a fine.
[…]

§ 80
Right to Manage and Transfer the Insolvency Estate Vested in the Insolvency Administrator

(1) Upon the opening of the insolvency proceedings the debtor's right to manage and transfer the insolvency estate shall be vested in the insolvency administrator. […]

X. TREATY ON THE EUROPEAN UNION (TEU)

Article 4

(1) In accordance with Article 5, competences not conferred upon the Union in the Treaties remain with the Member States.

(2) [1]The Union shall respect the equality of Member States before the Treaties as well as their national identities, inherent in their fundamental structures, political and constitutional, inclusive of regional and local self-government. [2]It shall respect their essential State functions, including ensuring the territorial integrity of the State, maintaining law and order and safeguarding national security. [3]In particular, national security remains the sole responsibility of each Member State.

(3) [1]Pursuant to the principle of sincere cooperation, the Union and the Member States shall, in full mutual respect, assist each other in carrying out tasks which flow from the Treaties. [2]The Member States shall take any appropriate measure, general or particular, to ensure fulfilment of the obligations arising out of the Treaties or resulting from the acts of the institutions of the Union.

[3]The Member States shall facilitate the achievement of the Union's tasks and refrain from any measure which could jeopardise the attainment of the Union's objectives.

Article 5

(1) [1]The limits of Union competences are governed by the principle of conferral. [2]The use of Union competences is governed by the principles of subsidiarity and proportionality.

(2) [1]Under the principle of conferral, the Union shall act only within the limits of the competences conferred upon it by the Member States in the Treaties to attain the objectives set out therein. [2]Competences not conferred upon the Union in the Treaties remain with the Member States.

(3) [1]Under the principle of subsidiarity, in areas which do not fall within its exclusive competence, the Union shall act only if and in so far as the objectives of the proposed action cannot be sufficiently achieved by the Member States, either at central level or at regional and local level, but can rather, by reason of the scale or effects of the proposed action, be better achieved at Union level.

[2]The institutions of the Union shall apply the principle of subsidiarity as laid down in the Protocol on the application of the principles of subsidiarity and proportionality. [3]National Parliaments ensure compliance with the principle of subsidiarity in accordance with the procedure set out in that Protocol.

(4) [1]Under the principle of proportionality, the content and form of Union action shall not exceed what is necessary to achieve the objectives of the Treaties.

[2]The institutions of the Union shall apply the principle of proportionality as laid down in the Protocol on the application of the principles of subsidiarity and proportionality.

XI. Treaty on the Functioning of the European Union (TFEU)

Article 288

(1) To exercise the Union's competences, the institutions shall adopt regulations, directives, decisions, recommendations and opinions.
(2) [1]A regulation shall have general application. [2]It shall be binding in its entirety and directly applicable in all Member States.
(3) A directive shall be binding, as to the result to be achieved, upon each Member State to which it is addressed, but shall leave to the national authorities the choice of form and methods.
(4) [1]A decision shall be binding in its entirety. [2]A decision which specifies those to whom it is addressed shall be binding only on them.
(5) Recommendations and opinions shall have no binding force.